

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 1
Honorable Eunice Lee, Presiding
TBD, Courtroom Clerk
191 North First Street, San Jose, CA 95113

DATE: July 30, 2026 TIME: 9:00 A.M. and 9:01 A.M.

**To contest the ruling, call the Court at (408) 808-6856 before 4:00 P.M.
Make sure to also let the other side know before 4:00 P.M. that you plan to contest the ruling,
in accordance with California Rule of Court, Rule 3.1308(a)(1) and Local Rule 8D.**

****Please specify the issue to be contested when calling the Court and counsel****

LAW AND MOTION TENTATIVE RULINGS

FOR APPEARANCES: Department 1 is fully open for in-person hearings. The Court strongly prefers **in-person** appearances for all contested law and motion matters. For all other hearings, appearances must be **in-person or by video**. Department 1 uses Unicorn Digital Courtroom (UDC) platform. Please click on this link if you need to appear remotely and then scroll down to the link for Department 1: <https://santaclara.courts.ca.gov/online-services/remote-hearings>. This system requires advance registration with a case number and hearing date. **Telephonic appearances are prohibited, unless permitted by the Court.** (Local Rule 5). If you must appear virtually, you must use video.

SCHEDULING MOTION HEARINGS: Please go to <https://reservations.scscourt.org> or call 408-882-2430 between 8:30 a.m. and 12:30 p.m. (Mon.-Fri). to reserve a hearing date for your motion before you file and serve it. You must then file your motion papers no more than five court days after reserving the hearing date, or else the date will be released to other cases.

FOR COURT REPORTERS: The Court is no longer able to provide official court reporters for civil proceedings (as of July 24, 2017). If you want to have a court reporter to report your hearing, you must submit the appropriate form, which can be found here:

https://www.scscourt.org/general_info/court_reporters.shtml

RECORDING IS PROHIBITED: As a reminder, most hearings are open to the public, but state and local court rules prohibit recording of court proceedings without a court order. This prohibition applies to both in-person and remote appearances.

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LAW AND MOTION TENTATIVE RULINGS

9:00 A.M.			
LINES 1-2	20CV366428	Pacific Office Automation, Inc. vs The Health Trust et al.	Motion to Tax Cost (Line # 1) and Attorney's Fees (Line #2) Scroll down to Lines 1-2 for Tentative Ruling.
LINE 3	20CV416339	Cathay Bank vs RPRO152N3, LLC et al.	Motion to Enforce a Judgment Following Judicial Foreclosure Sale Scroll down to Line 3 for Tentative Ruling.
LINE 4	23CV428385	Soulbrain CA, LLC et al vs Seung Pyo (Dominic) Lee et al.	Demurrer Scroll down to Line 4 for Tentative Ruling.
LINE 5	24CV450570	Star Union Technology et al. vs Capital Asset Exchange and Trading LLC	Demurrer Scroll down to Line 5 for Tentative Ruling.
LINE 6	24CV451385	Bank of America N.A. vs Arbinder Dhak	Motion to Set Aside Scroll down to Line 6 for Tentative Ruling.
LINE 7	25CV457892	CSAA Automobile Insurance Co. vs Sergio Palacios et al.	Motion for Terminating Sanctions Scroll down to Line 7 for Tentative Ruling.

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LAW AND MOTION TENTATIVE RULINGS

9:01 A.M.			
<u>LINE 1</u>	25CV461730	Narjes Naserbakht et al vs Kaiser Foundation Hospitals et al	Hearing: Minors Compromise Parties to appear.
<u>LINE 2</u>	25CV462873	Idea 247, Inc. vs Robert Nicol et al	Order of Examination Parties to appear.

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9:00 A.M.

Calendar Lines # 1-2

Case Name Pacific Office Automation, Inc. vs The Health Trust et al

Case No. 20CV366428

Motion to Tax Cost by Plaintiff/Cross-Defendant Pacific Office Automation, Inc. (Line # 1) and Motion for Attorneys' Fees by Defendant/Cross-Complainant the Health Trust (Line # 2).

LINE #1: MOTION TO TAX COST BY PLAINTIFF/CROSS-DEFENDANT PACIFIC OFFICE AUTOMATION, INC.

I. BACKGROUND

On November 5, 2025, Plaintiff Pacific Office Automation, Inc. ("POA") and Cross-Defendant Garret Dettner ("Dettner") filed a Motion to Tax Cost. The motion was accompanied by a proof of service via e-mail service on that same day. POA contends that Defendant The Health Trust ("Defendant" or "THT") seeks costs in their October 21, 2025 memorandum of costs that are not statutorily recoverable or reasonably necessary for the conduct of litigation. POA seeks an order striking or taxing eight specific items in the amount of \$15,151.05. Thereby, reducing THT's costs from \$47,545.24 to \$32,394.18.

Defendant THT filed opposition papers on April 17, 2026.

Plaintiff/Cross-Defendant filed a Reply brief on April 23, 2026.

The Court has carefully reviewed the Plaintiff/Cross-Defendant's and moving papers including a notice of motion and memorandum of points and authorities (totaling 12 pages); Declaration of Chris Kaltsas in support of the plaintiff/cross-defendant's moving papers with Exhibits A – C attached (totaling 45 pages); Request for Judicial Notice in Support of the motion (totaling 436 pages pages); Defendant Health Trust's opposition papers (totaling 12 pages); Declaration of Corey M. Day and attached Exhibits A - B (totaling 19 pages); plaintiff/cross-defendant's reply brief (totaling 11 pages) and the pleadings.

II. LEGAL STANDARD

Pursuant to Code of Civil Procedure section 1032(b), a prevailing party is entitled to cost. (*See also, Santisas v. Goodin* (1998) 17 Cal.4th 599, 606). Code of Civil Procedure section 1033.5 sets forth the costs recoverable by the prevailing party. "Allowable costs shall be reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation." (Code Civ. Proc., §1033.5(c)(2); *Perko's Enterprises, Inc. v. RRNS Enterprises* (1992) 4 Cal.App.4th 238, 244). A "properly verified memorandum of costs is considered prima facie evidence that the costs listed in the memorandum were necessarily incurred." (*Bach v. County of Butte* (1989) 215 Cal.App.3d 294, 308; *Hadley v. Krepel* (1985) 167 Cal.App.3d 677, 682; *Jones v. Dumrichob* (1998) 63 Cal.App.4th 1258, 1266; *Rappenecker v. Sea-Land Service, Inc.* (1979) 93 Cal.App.3d 256, 266).

Code of Civil Procedure Section 1033.5(a) sets for the following allowable items as costs:

- (1) Filing, motion, and jury fees.
- (2) Juror food and lodging while they are kept together during trial and after the jury retires for deliberation.
- (3) (A) Taking, video recording, and transcribing necessary depositions, including an original and one copy of those taken by the claimant and one copy of depositions taken by the party against whom costs are allowed. (B) Fees of a certified or registered interpreter for the deposition of a party or

witness who does not proficiently speak or understand the English language. (C) Travel expenses to attend depositions.

- (4) Service of process by a public officer, registered process server, or other means, as follows:
(A) When service is by a public officer, the recoverable cost is the fee authorized by law at the time of service. (B) If service is by a process server registered pursuant to Chapter 16 (commencing with Section 22350) of Division 8 of the Business and Professions Code, the recoverable cost is the amount actually incurred in effecting service, including, but not limited to, a stakeout or other means employed in locating the person to be served, unless those charges are successfully challenged by a party to the action. (C) When service is by publication, the recoverable cost is the sum actually incurred in effecting service. (D) When service is by a means other than that set forth in subparagraph (A), (B), or (C), the recoverable cost is the lesser of the sum actually incurred, or the amount allowed to a public officer in this state for that service, except that the court may allow the sum actually incurred in effecting service upon application pursuant to paragraph (4) of subdivision (c).
- (5) Expenses of attachment including keeper's fees.
- (6) Premiums on necessary surety bonds.
- (7) Ordinary witness fees pursuant to section 68093 of the Government Code.
- (8) Fees of expert witnesses ordered by the court.
- (9) Transcripts of court proceedings ordered by the court.
- (10) Attorney's fees, when authorized by any of the following: (A) Contract. (B) Statute. (C) Law.
- (11) Court reporter fees as established by statute.
- (12) Court interpreter fees for a qualified court interpreter authorized by the court for an indigent person represented by a qualified legal services project, as defined in Section 6213 of the Business and Professions Code, or a pro bono attorney, as defined in Section 8030.4 of the Business and Professions Code.
- (13) Models, the enlargements of exhibits and photocopies of exhibits, and the electronic presentation of exhibits, including costs of rental equipment and electronic formatting, may be allowed if they were reasonably helpful to aid the trier of fact.
- (14) Fees for the electronic filing or service of documents through an electronic filing service provider if a court requires or orders electronic filing or service of documents.
- (15) Fees for the hosting of electronic documents if a court requires or orders a party to have documents hosted by an electronic filing service provider. This paragraph shall become inoperative on January 1, 2022.
- (16) Any other item that is required to be awarded to the prevailing party pursuant to statute as an incident to prevailing in the action at trial or on appeal. (b) The following items are not allowable as costs, except when expressly authorized by law: (1) Fees of experts not ordered by the court. (2) Investigation expenses in preparing the case for trial. (3) Postage, telephone, and photocopying charges, except for exhibits. (4) Costs in investigation of jurors or in preparation for voir dire. (5) Transcripts of court proceedings not ordered by the court. (c) An award of costs shall be subject to the following: (1) Costs are allowable if incurred, whether or not paid. (2) Allowable costs shall be reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation. (3) Allowable costs shall be reasonable in amount. (4) Items not mentioned in this section and items assessed upon application may be allowed or denied in the court's discretion. (5) (A) If a statute of this state refers to the award of "costs and attorney's fees," attorney's fees are an item and component of the costs to be awarded and are allowable as costs pursuant to subparagraph (B) of paragraph (10) of subdivision (a). A claim not based upon the court's established schedule of attorney's fees for actions on a contract shall bear the burden of proof. Attorney's fees allowable as costs pursuant to subparagraph (B) of paragraph (10) of subdivision

(a) may be fixed as follows: (i) upon a noticed motion, (ii) at the time a statement of decision is rendered, (iii) upon application supported by affidavit made concurrently with a claim for other costs, or (iv) upon entry of default judgment. Attorney's fees allowable as costs pursuant to subparagraph (A) or (C) of paragraph (10) of subdivision (a) shall be fixed either upon a noticed motion or upon entry of a default judgment, unless otherwise provided by stipulation of the parties. (B) Attorney's fees awarded pursuant to Section 1717 of the Civil Code are allowable costs under Section 1032 as authorized by subparagraph (A) of paragraph (10) of subdivision (a).

California Rule of Court, rule 3.1700 provides that “[a] prevailing party who claims costs must serve and file a memorandum of costs within 15 days after the date of mailing of the notice of entry of judgment. . . The memorandum of costs must be verified by a statement of the party, attorney, or agent that to the best of his or her knowledge the items of cost are correct and were necessarily incurred in the case.” (Cal. Rule of Court, rule 3.1700). The memorandum of costs need not contain invoices, billings, or statements. (*Bac v. County of Butte*, *supra* 215 Cal.App.3d at 308; *see also* Cal. Rules of Court, Rule 3.1700(a)(1) (only verification required)). “Documentation must be submitted only when a party dissatisfied with the costs claimed in the memorandum challenges them by filing a motion to tax costs.” (*Id.*).

Code of Civil Procedure section 1034(a) provides grounds for the opposing party to contest the costs that a prevailing party seeks. The challenging party bears the burden of demonstrating that the costs are unreasonable or unnecessary. (*Adams v. Ford Motor Co.*, (2011) 199 Cal. App. 4th 1475, 1486; 612; *South LLC v. Laconic Limited Partnership*, (2010) 184 Cal. App. 4th 1270, 1285). The opposing party seeking to tax costs bears the burden of showing that the costs were not reasonable or necessary. (*Ladas v. California State Automotive Assoc.* (1993) 19 Cal.App.4th 761, 773-74). If items are properly objected to, they are put in issue, and the burden of proof shifts to party claiming the costs at issue. (*Id.*; *See also, Nelson v. Anderson* (1999) 72 Cal.App.4th 111, 131).

III. ANALYSIS

POA seeks an order striking or taxing eight specific items listed in THT’s October 21, 2025 memorandum of costs that amount to \$15,151.05, which include the following:

- (1) Attachment 1G - \$180.00 for filing costs not reasonably related to the litigation;
- (2) Attachment 4E - \$1,275.19 for travel costs, including attorney and client meals, not authorized by statute and/or reasonably related to the litigation;
- (3) Attachment 15 - \$445.00 for costs related to the attempted, and failed, service of deposition and discovery process upon Garret Dettner which POA was willing to accept as Dettner’s counsel, and which POA eventually did accept electronically;
- (4) Attachment 15 - \$2,326.02 for e-filing costs issued by a vendor not authorized to file for Santa Clara County Superior Court, and thus not authorized by statute;
- (5) Attachment 15 - \$340.79 for a late fee charged by a court reporter hired by THT, with no indication as to the necessity of the late fee to the litigation;
- (6) Attachment 15 - \$6,558.91 for hosting fees not ordered by the Court (and thus not required by statute), and not otherwise necessary to the conduct of the litigation;
- (7) Attachment 15 - \$94.00 for a fee refunded to THT; and
- (8) Attachment 15 - \$3,961.65 for the portion of mediator fees that THT agreed to pay for the December 2022 mediation. (POA’s motion, at p.2).

It is uncontested that under Code of Civil Procedure section 1033.5, a prevailing party is entitled to recover enumerated allowable costs. However, POA contests the total amount of costs, \$47,545.24 that THT seeks on the grounds that the eight items listed above are either not statutorily recoverable or reasonably necessary for the conduct of litigation. (POA's motion, at p. 6). POA asserts that the court may in its discretion strike unenumerated costs under section 1033.5(c)(4) and for enumerated or discretionary costs, "[a]ny allowable cost must be 'reasonably necessary to the conduct of litigation rather than convenient or beneficial to its preparation,' and reasonable in amount.'" (POA's motion, p. 6, citing *Bender v. County of L.A.* (2013) 217 Cal.App.4th 968, 990 (quoting Cal. Code Civ. Proc. § 1033.5(c)). Accordingly, POA argues that THT's request for \$47,545.24 is statutorily barred, excessive, or not reasonably necessary to the conduct of litigation and seeks a reduction of at least \$15,151.05, which would bring THT's total cost to \$32,394.18. (*Id.*).

The Court consider each of the eight items presented by POA:

- (1) Attachment 1G - \$180.00 for filing costs not reasonably related to the litigation, POA asserts that THT's motion to compel and ex parte application for an order shortening time and stipulation to continue the trial were not reasonably necessary. POA argues that THT's motion was an attempt to engage in a fishing expedition on the fraud-based cross claim and points to the fact that the Court denied the motion. The parties did not resolve the discovery issue in litigation. As for the ex parte application to continue the trial date, POA requests the motion was unnecessary as POA stipulated to the continuance.

POA requests judicial notice of the August 16, 2022 order and Declaration of Thomas A Woods in relations to THT's motion for attorney's fees on October 21, 2025. Evidence Code section 452, subdivision (d), states that the court may take judicial notice of "[r]ecords of any court of this state." This section of the statute has been interpreted to mean that the trial court may take judicial notice of the existence of the court's own records. Evidence Code section 452 and 453 permit the trial court to "take judicial notice of the existence of judicial opinions and court documents, along with the truth of the results reached—in the documents such as orders, statements of decision, and judgments—but [the court] cannot take judicial notice of the truth of hearsay statements in decisions or court files, including pleadings, affidavits, testimony, or statements of fact." (*People v. Woodell* (1998) 17 Cal.4th 448, 455). Accordingly, Defendant's request for judicial notice of the August 16, 2022, Minute Order by the Honorable Socrates Manoukian is GRANTED, but only insofar as the court takes judicial notice of their existence, not for the truth of matters asserted therein. As to the request for judicial notice of the October 21, 2025 Declaration of Woods, generally, the court may not take judicial notice of discovery responses. (See *TSMC North America v. Semiconductor Mfg. Intern. Corp.* (2008) 161 Cal.App.4th 581, 594).

However, the Court may take judicial notice of discovery responses "to the extent 'they contain statements of the [party] or his agent which are inconsistent with the allegations of the pleading before the court.'" (*Bounds v. Superior Court* (2014) 229 Cal.App.4th 468, 477 (quoting *Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 605)). "But in doing so, '[t]he hearing on demurrer may not be turned into a contested evidentiary hearing through the guise of having the court take judicial notice of affidavits, declarations, depositions, and other such material which was filed on behalf of the adverse party and which purports to contradict the allegations and contentions of the plaintiff.'" (*Id.*). The court finds it unnecessary to consider this October 21, 2025 Declaration in resolving the motion to tax in conjunction with THT's motion for attorney's fees. (See *Duarte v. Pacific Specialty Insurance Company* (2017) 13

Cal.App.5th 45, 51, fn. 6—denying request where judicial notice is not necessary, helpful or relevant). Consequently, Defendant’s request for judicial notice of the Wood Declaration dated October 21, 2025 is DENIED.

THT argues that the results of the motions filed is not a prong in obtaining costs. (THT’s opposition, p. 4). THT asserts the motion to compel was needed to enforce its discovery rights and that the court struck down POA’s fishing expedition arbitration. (*Id.*). Further, the ex parte application, even if stipulated was necessary to ensure the court could rule before trial. (*Id.*, at p. 5). In its reply brief the POA asserts that the THT did not meet its burden to show these costs were reasonably necessary. (POA Reply, p. 4-5).

Here, the Court finds the \$180.00 incurred for the motion to compel and ex parte application to continue the trial is a reasonable cost in litigation. Regardless of the Court’s denial of the motion to compel was without prejudice and there was no finding that the motion was frivolous or made in bad faith. As for the ex parte application, regardless of a stipulation, parties must seek permission from the Court to continue a trial date, so that application qualifies as a reasonable cost. Filing fees are recoverable under section 1033.5(a)(1). POA does not meet its burden of showing that the cost incurred for filing was not proper.

- (2) Attachment 4E - \$1,275.19 for travel costs, including attorney and client meals, not authorized by statute and/or reasonably related to the litigation. POA argues that counsel’s meals should not count as a recoverable cost for deposition related travel expenses. The cost of meals at issue is \$124.93. (POA motion, p. 7-8, citing *Ladas v. Cal. State Auto Ass’n* (1993) 19 Cal.App.4th 761, 774). POA argues that THT attempts to hide that several of the expenses grouped into the “travel” column of this attachment are meal related that are not allowable costs under Code of Civil Procedure and that THT cannot justify this expense as reasonably necessary. Lodging and meal expenses re recoverable trial costs subject to the court’s discretion. In *Ladas*, the court held that meal expenses while attending local depositions were not recoverable, although it was argued that “[l]awyers must eat whether they are conducting litigation or not.” (*Ladas, supra*, (1993) 19 Cal.App.4th at p. 774). Meal expenses incurred by attorneys while attending out-of-town depositions, on the other hand, have been held to be recoverable. (*Howard v. American National Fire Ins. Co.* (2010) 187 Cal.App.4th 498, 541 [“Although the incurring of meal expenses may be merely convenient to an attorney attending a local deposition, meal expenses may be reasonably necessary where an out-of-state attorney must travel to the deposition”]; *Gorman v. Tassajara Development Corp.* (2009) 178 Cal.App.4th 44, 72 [distinguishing local meal expenses from meal expenses incurred while traveling]). In *Doe v. Dep’t. of Children & Family Servs.*, the court held that meal expenses incurred during trial that was approximately 90 miles from defense counsel’s office was recoverable and awarding cost was not an abuse of discretion. (*Doe v. Dep’t. of Children & Family Servs.* (2019) 37 Cal.App.5th 695).

POA also disputes costs related to a deposition of Steve Hummel in San Francisco, California, which is approximately a 90-minute drive from counsel’s office in Sacramento. POA attacks the lodging and parking fees of \$378.99 incurred as not necessary to litigation, but “merely convenient or beneficial” to conduction a deposition. (*Id.*, at p. 7-8).

Similarly, POA challenges costs for the deposition of Garret Dettner, which was a stipulated remote appearance. Despite a remote appearance, TCT incurred significant travel expenses

including mileage and lodging in Bend, Oregon. POA also disputes the inflated cost of the daily lodging as excessive and not reasonably necessary for litigation.

TCT argues that the \$1,275.19 incurred for deposition travel was reasonably necessary to the conduct of the litigation, rather than being merely beneficial. (TCT's opposition, at p. 5). TCT asserts that an Oregon-based associate covered the deposition in person, while lead counsel appeared remotely, which was a cost-conscious approach. TCT explains that documents produced in the deposition required a person to be personally present. (*Id.*). TCT also asserts that the room rental expense associated with the Bend deposition was to cover of the actual room where the deposition actually took place. (*Id.*).

POA argues in its reply brief that an in person deposition was unnecessary and that the TCT attorney failed to produce further documents. (POA's Reply, p. 6). POA contends that TCT did not need to send a second attorney to attend in person while lead counsel appeared remotely and thus assert the cost is unrecoverable.

Here, the court finds the deposition travel expense and deposition room rental in Bend, Oregon as a reasonably necessary cost for litigation. As for the travel cost of Mr. Hummel from Sacramento to Francisco, without further details as to the need for overnight lodging is more of a cost of convenience rather than necessity and will strike the \$378.99. The Court in its discretion also strikes the meal cost of \$124.93 that was incurred by the local attorney handling the deposition in Bend. The total amount in this section that the Court will strike is \$503.92.

- (3) Attachment 15 - \$445.00 for costs related to the attempted, and failed, service of deposition and discovery process upon Garret Dettner which POA was willing to accept as Dettner's counsel, and which POA eventually did accept electronically. (POA's motion, at p. 9). POA points out that THT attempted personal service and failed three times, resulting in \$445.00 in cost. While fees related to depositions are allowable, POA contends the cost was not reasonably necessary because POA was willing and ultimately accepted service on behalf of Garret Dettner, who POA represented at the time. POA contends that THT's decision to attempt personal service rather than e-mail service was not reasonable or efficient.

In response, THT argues that POA initially refused to cooperate with, which made the service fee a necessity. (THT Opposition, p. 1). THT contends that POA omits the fact that it repeatedly refused to provide Mr. Dettner's residential address and availability for deposition, which forced THT to conduct investigations into Mr. Dettner's location and attempt service. (*Id.*; Declaration of Corey M. Day, at p. 2; Exhibit B). THT contends that service was required given POA's obstruction. Even though POA ultimately accepted electronic service for Mr. Dettner, THT still incurred the cost. POA states that THT did not ask POA to accept electronic service or provide Mr. Dettner's location. (POA's reply brief, at p. 7).

In general service of process fees are recoverable under section 1033.5(a)(4). Given that this Garrett Dettner is a party and witness in this matter, service is reasonably necessary to conduct litigation. Given there was a dispute on accepting service, the court will not tax this cost.

- (4) Attachment 15 - \$2,326.02 for e-filing costs issued by a vendor not authorized to file for Santa Clara County Superior Court, and thus not authorized by statute. POA contends that fees for electronic filing or service are recoverable if ordered by the Court. (POA's motion, at p. 9).

POA contends that Santa Clara County requires the use of Odyssey e-file California for e-filing, but that THT used an unapproved vendor listed as “Dauntless Legal Services LLC,” and is thus not approved and recoverable. (*Id.*, at p. 9-10). THT disputes POA representation and asserts that the electronic filing is required or ordered. (THT’s Opposition, p. 3). THT also asserts that Dauntless Legal Services LLC used Green Filing’s portal, which is expressly identified in the Odyssey e-filing platform and that it has complied with e-filing. THT asserts that none of the filings were rejected, flagged, or returned. (*Id.*).

Section 1033.5(a)(14) allows for electronic filing fees when required or ordered by the court and subdivision (c)(4) allows for the court to determine awarding the cost. Here, the court requires e-filing on the Odyssey platform. It is undisputed that filings were not rejected, flagged, or returned, there is no discussion that the fees using this particular vendor, Dauntless Legal Services was excessive or unreasonable. It is undisputed that e-filing is a reasonable and necessary cost in litigation. The Court will not tax this amount.

- (5) Attachment 15 - \$340.79 for a late fee charged by a court reporter hired by THT, with no indication as to the necessity of the late fee to the litigation. POA disputes the cancellation costs for “reporter late cancellation same day fee” totaling \$340.79 on April 3, 2024 does not include any explanation and support as to why it was reasonably necessary and should be taxed. (POA’s motion, at p. 8).

In response, THT asserts that POA delayed in producing a deponent the night before the deposition, which resulted in late-cancellation of the court reporter. (THT’s opposition, at p. 2). THT contends that the late fee was not incurred for a lack of diligence, but rather unavoidable due to POA’s late response the night before the scheduled deposition. (*Id.*; Declaration of Corey M. Day, at p. 2; Exhibit A).

POA asserts that the delay was THT’s failure to verify information that POA already provided. POA offered a mutually agreeable date for deposition before THT made its first request to verify the same date that POA had already offered. (Declaration of Day; Exhibit A; POA’s reply, at p. 9). “THT waited until 4:53 p.m. to verify an available deposition date that POA had already presented (and verified) an hour earlier. THT’s own delay in rescheduling thus appears to have been the reason for the cancellation fee it paid.” The fee was per contract rather than for an actual court reporter fee. (*Id.*).

Here, it appears the delay and miscommunication of both parties resulted in a contractual penalty for late-cancellation of a court reporter. The Court exercises its discretion and will tax this cost.

- (6) Attachment 15 - \$6,558.91 for hosting fees not ordered by the Court (and thus not required by statute), and not otherwise necessary to the conduct of the litigation. POA disputes THT’s request to recover \$21,799.48 in “other “ costs. (POA motion, at p. 10). Specifically, POA points to several entries for “Casepoint Hosting” and “EPIQ – Relativity” hosting for document intensive cases, POA asserts that section 1033(a)(5) allows fees for hosting electronic documents, but only if the Court requires a party to do so. (*Id.*). POA asserts that there was no such order in this case and that the specific subsection providing for document hosting fee became inoperative as of January 1, 2022. (*Id.*). POA contends that THT has failed to show why it should be awarded hosting fees or associated fees as a discretionary cost. POA estimates

that 5,000 pages of discovery is “. . . a shockingly small number of pages for the costs THT now seeks in a matter resulting in a \$40,000 damages award.” (*Id.* at p.10).

It is undisputed that the hosting fee falls under the discretionary authority of the court. (THT’s opposition, at p. 7). THT contends that electronic document hosting is not only common, but necessary in this type of multi-year litigation. (*Id.*). The figure represents monthly fees that were incurred during the pendency of this case. The hosting fees to store custodial emails and other ESI responsive to discovery started on February 28, 2021 to July 31, 2025, for a 54 month period at a rate of approximately \$121.00 per month. (Declaration of Day, at p. 3). THT asserts that the hosting fees were required to respond to POA’s discovery demands. (*Id.*). The volume required and necessitated management and was not discretionary or convenience based. (*Id.*). THT argues that POA now seeks to minimize the scope of discovery at issue.

POA asserts that THT does not identify the amount of data hosted or the nature mutinied to justify 54 months of continuous hosting. (POA’s reply brief, at p. 8).

Here, the Court finds that given the length of time and discovery, electronic storage costs of approximately \$121.00 per month is reasonably necessary to respond to discovery and prepare for litigation. Given the landscape of efilings and electronic service, which both parties utilized in this matter, the Court finds this a reasonable cost. The statute does not require a detailed analysis of the cost, and TCT identifies the cost to store emails and ESI related in the matter. However, the Court notes that TCT accepted POA’s 998 offer on March 21, 2025 and the 998 Judgment was entered into the record on June 23, 2025 (Judgment). Therefore, the Court exercises its discretion to tax the additional three months (April to July 2025) that hosting fees were incurred as parties reached a settlement and judgment was entered. The three months calculated at \$121.00 per month amounts to \$363.00 that will be taxed.

- (7) Attachment 15 - \$94.00 for a fee refunded to THT. POA challenged the September 10, 2020 CourtCall fee in the amount of \$94.00 on the grounds that billing records indicate that this fee was refunded to StoelRives LLP on September 22, 2020. The Court will tax the full amount of this charge in the amount of \$94.00.

THT contends that the refund was for a different charge and that on September 10, 2020, THT did not fact incur a CourtCall fee. (THT Opposition). POA asserts that Stoel Rives’s billing records indicate that a CourtCall cost associated with identifier *10845424 was charged to THT’s file on September 10, 2020, and that it was refunded on September 22, 2020 and THT fails to provide any information on how the cost was misinterpreted.

Here, the Court finds that THT does not account for how the refund does not apply in this matter. Court calls are a courtesy for parties and is more of cost of convenience and expediency rather than necessity in cases. The Court exercises its discretion and will tax the \$94.00 fee.

- (8) Attachment 15 - \$3,961.65 for the portion of mediator fees that THT agreed to pay for the December 2022 mediation. (POA’s motion, at p. 10). POA challenges this first round of mediation cost on the grounds that the fee is not expressly allowed under section 1033.5(a)(1)-(16) and that parties agreed to split the cost of the mediator in this action. (*Id.*; Declaration of Kaltsas; Exhibit C).

THT contends that Court may exercise its discretion to award the mediation cost. THT contends that a fee-splitting agreement does not preclude a prevailing party from recovering discretionary costs. (THT's opposition, at p. 8; citing *Gibson v. Borbroff* (1996) 49 Cal.App.4th 1202-1209). THT asserts that the mediation occurred in the pendency of the litigation as part of the parties efforts to resolve the matter before trial.

POA responds that "[t]he Court of Appel has explicitly held that in cases where parties "agree to share costs during litigation, the courts will enforce those agreements as written." (POA's Reply, at p. 9, citing *Anthony v. Li* (2020) 47 Cal.App.5th 816, 824 [Citation]).

It is uncontested that the parties agreed to share the initial mediation fee in this matter. While the statute may not bar recovery, the agreement reflects a meeting of the minds of the parties to efficiently and conveniently agree to mediation and its cost. The initial mediation did not resolve the matter, rather, the parties continued to engage in litigation and only resolved after judgment was entered on June 23, 2025, after THT accepted POA's 998 Offer. Based on the agreement early on in the case, subsequent litigation that reflected the mediation agreement early on was convenient method to agree to mediation, but not necessary, the Court exercises its discretion and will tax the full amount of \$3,961.65 of the December 22 mediation fee.

IV. CONCLUSION

Based on the foregoing, the Court GRANTS costs, but DENIES the total amount requested by THT. The total cost requested of \$47,545.24 less the \$5,263.36 that the court taxes, results in costs in the amount of \$42,281.88. The Court will prepare the formal Order.

LINE #2: MOTION FOR ATTORNEYS' FEES BY DEFENDANT/CROSS-COMPLAINANT THE HEALTH TRUST

I. BACKGROUND

On October 21, 2025, Defendant The Health Trust ("THT") filed a Motion for Attorney's Fees that was accompanied by a proof of service via hand delivery on that same day. Defendant/Cross-Complaint THT seeks attorney's fees in the amount of \$822,311.24 and costs in the amount of \$45,545.24 for a total of \$869,886.48 pursuant to Code of Civil Procedure sections 1032 and 1033.5, Civil Code section 1717, and Rule of Court, rule 3.1702, and on the grounds that it is the prevailing party. Plaintiff/ Cross-Defendant Pacific Office Automation, Inc. ("POA") filed Opposition on October 30, 2025. Defendant THT filed a Reply brief on November 5, 2025. The original hearing date for the motion for attorney's fee was set for November 13, 2026. On that date, the Honorable Shella Deen continued the hearing to April 30, 2026 to be heard together with the motion to tax cost. On April 30, 2026, the court continued the hearing on both motions to July 30, 2026.

On March 20, 2025, POA served THT with a Code of Civil Procedure section 998 Offer ("998 Offer") in the amount of \$40,000.00, which THT accepted. (THT motion, at p. 7). The judgment was recorded on June 23, 2025. This resolution was reached after five active years of litigation involving substitutional discovery, substantive discovery motions, and mediation. (*Id.*). THT asserts that due to the length and involvement of litigation, THT incurred substantial attorney's fees and costs. (*Id.*). THT also asserts that the agreement did not exclude attorney's fees and cost. (*Id.*, at p. 8).

THT cites to the relevant portion of the 998 Offer:

3. To the extent permissible under the terms of the contract governing this dispute, POA will pay the reasonable attorneys' fees and costs incurred by THT in connection with this action and incurred up until the time of this Offer, with the legal availability and reasonableness of such fees to be determined by the Court upon a fully-noticed Motion, which fees shall be incorporated into the Judgment described in Paragraph 1. (*Id.*, at p. 8; 998 Judgment).

The Court has carefully reviewed the Defendant Health Trust's notice of motion (totaling 5 pages); memorandum of points and authorities (totaling 23 pages); Declaration of Thomas Woods in support of the defendant's moving papers with Exhibits A – K attached (totaling 546 pages); Memorandum of Costs (totaling 17 pages); Plaintiff/Cross-Defendant's Opposition (totaling 19 pages); Plaintiff/Cross-Defendant's Request for Judicial Notice in Support of its opposition (totaling 607 pages); Declaration of Chris Kaltsas in support (totaling 400 pages); Defendant Health Trust's Reply brief (totaling 13 pages); and the pleadings.

II. LEGAL STANDARD

A. CODE OF CIVIL PROCEDURE SECTION 1032(A)

Pursuant to Code of Civil Procedure section 1032(a)(4), "a prevailing party is entitled as a matter of right to recover costs in any action or proceeding." Further, section §1032 (a)(4) provides definitions of "prevailing party," including "the party with a net monetary recovery." "Courts have consistently held the prevailing party for the award of costs under section 1032 is not necessarily the prevailing party for the award of attorney's fees in contract actions under section 1717." (*Sears v. Baccaglio* (1998) 60 Cal.App.4th 1136, 1142). "The definition of prevailing party under section 1717 thus differs significantly from section 1032." (*Id.*; see also *Zintel Holdings LLC v. McLean* (2012) 209 Cal.App.4th 431, 438; *PNEC Corp. v. Meyer* (2010) 190 Cal.App.4th 66, 70 n.2 ["We recognize that the "prevailing party" inquiries under Civil Code section 1717 and Code of Civil Procedure section 1032 are distinct."], overruled in part on other grounds by *DisputeSuite.com, LLC v. Scoreinc.com* (2017) 2 Cal.5th 968, 979; *Goodman v. Lozano* (2010) 47 Cal.4th 1327, 1335 n.3 ["we reject their contention that we must construe section 1032(a)(4) in light of Civil Code section 1717."]). Section 1032, defines the prevailing party to include "a defendant in whose favor a dismissal is entered, a defendant where neither plaintiff nor defendant obtains any relief, and a defendant as against those plaintiffs who do not recover any relief against that defendant." (Code of Civ. Proc. §1032(a)(4)).

B. CIVIL CODE SECTION 1717

Civil Code section 1717 provides, in part, "[i]n any action on a contract, where the contract specifically provides that attorney's fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney's fees in addition to other costs." (Civ. Code §1717(a)). The "prevailing" party is the party who recovered greater relief in the action on the contract. (Civ. Code §1717(b)(1)). Under section 1717, "the court is given wide discretion in determining which party has prevailed on its cause(s) of action. Such a determination will not be disturbed on appeal absent a clear abuse of discretion." (*Smith v. Krueger* (1983) 150 Cal.App.3d 752, 756–757).

However, Civil Code section 1717(b)(2) provides in pertinent part: "Where an action has been voluntarily dismissed or dismissed pursuant to a settlement of the case, ***there shall be no prevailing party for purposes of this section.***" (emphasis added).

C. REASONABLE ATTORNEY'S FEES

In determining reasonable attorney's fees, the fee setting inquiry in California ordinarily begins with the 'lodestar,' i.e., the number of hours reasonably expended multiplied by the reasonable hourly rate. (*PLCM Group v. Drexler* (2000) 22 Cal.4th 1084, 1095; *Graciano v. Robinson Ford Sales, Inc.* (2006) 144 Cal.App.4th 140, 154; *Margolin v. Reg'l Planning Comm'n* (1982) 134 Cal.App.3d 999, 1004 ("[A] computation of time spent on a case and the reasonable value of that time is fundamental to a determination of an appropriate attorneys' fee award.")). In making this calculation, the reasonable hourly rate is the "prevailing rate for private attorneys in the community" handling litigation of the same type. (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1133). The lodestar figure may then be adjusted, based on consideration of factors specific to the case, in order to fix the fee at the fair market value for the legal services provided. (*Id.* at p. 1132; *PLCM Group v. Drexler, supra*, 22 Cal.4th at p. 1095); *Serrano v. Priest* (1977) 20 Cal.3d 25, 49 [discussing factors relevant to proper attorneys' fees award.]). Such an approach anchors the trial court's analysis to an objective determination of the value of the attorney's services, ensuring that the amount awarded is not arbitrary. (*Id.* at 48, fn. 23). The factors considered in determining the modification of the lodestar include "(1) the novelty and difficulty of the questions involved, (2) the skill displayed in presenting them, (3) the extent to which the nature of the litigation precluded other employment by the attorneys, (4) the contingent nature of the fee award." (*Mountjoy v. Bank of Am.* (2016) 245 Cal.App.4th 266, 271). In challenging attorney fees as excessive because too many hours of work are claimed, it is the burden of the challenging party to point to the specific items challenged, with a sufficient argument and citations to the evidence. (*Premier Medical Management Systems, Inc. v. California Ins. Guaranty Assoc.* (2008) 163 Cal.App.4th 550, 564). General arguments that fees claimed are excessive, duplicative, or unrelated do not suffice. (*Id.*).

III. ANALYSIS

THT asserts that section three of the contract expressly provides the right to seek attorney's fees. (THT's motion, at p. 8). THT also argues that when a 998 agreement is silent as to costs or fees, contractual or statutory attorney fees are recoverable in addition to the amount of the accepted offer. (Code of Civ. Proc. §1033.5(a)(10); *Ritzenthaler v. Fireside Thrift Co.* (2001) 93 Cal.App.4th 986, 991; *Engle v. Copenbarger & Copenbarger* (2007) 157 Cal.App.4th 165, 169). THT argues that "POA failed to expressly exclude fees in its Offer in reference to THT's claims and "money damages." In fact, the Offer and Judgment expressly reserved the right for THT's fee motion." (THT's motion, at p. 12; citing Declaration of Woods, Exhibit E, Judgment, ¶ 3). THT provides declaration of its counsel Thomas Woods in support of its attorney's fees. (*Id.*, at p. 18; Declaration of Woods; Exhibit F). THT seeks a range of fees: Mr. Woods, a partner at Stoel Rives LLP, charged between \$550.00 and \$800.00 per hour from 2020 to 2025. (*Id.*, at p. 19; Declaration of Woods); associate attorneys Corey Day and Chloe Fisher, and paralegal Rebecca Lerma have hourly rates between \$290.00 and \$535.00. (*Id.*). THT states that the rates are within range of market rates with similar skills and experience in California. THT represents significant time, attention, and labor was expended on this case, which resulted in nearly five years of litigation. THT asserted that it ultimately prevailed and obtained a judgment in its favor. The attorney's fees amount of \$822,311.24 and does not include fees for vacating, enforcing, and pursuing an entry of the final judgment. (*Id.*, at p. 20). THT asserts that its fees are inextricably intertwined with the predominant breach of contract claim. THT argues that POA cannot claim mistake to cure to the language of the Offer.

In its opposition, POA asserts that POA voluntarily dismissed its breach of contract claim, which in essence bars THT from seeking attorney's fees under Civil Code section 1717. (POA's opposition, at p. 5). POA asserts that pursuant to Civil Code section 1717(b)(2) there is no prevailing party when the contract claim is voluntarily dismissed or dismissed pursuant to settlement. (*Id.*). Even if THT is entitled to fees, which POA contends THT is not, POA asserts that the attorney's fees requested is not reasonable as its billing records do not support its extraordinary request for attorney's fees amounting to more than twenty times the damages as issue. POA notes that on March 21, 2025, less than a week from trial, THT filed a signed 998 Offer without conferring with POA. (Declaration of Kaltsas; POA opposition, p. 6). POA found that the proposed judgment did not reflect the terms of

the offer and objected and filed its own proposed judgment. THT filed ex parte papers to move along its judgment, POA filed a request for dismissal of its complaint with prejudice, along with a notice of entry of dismissal and proof of service in accordance with the March 28, 2025 Offer. (POA opposition, at p. 7). On May 29, 2025, the Court vacated a previously entered judgment and ordered POA to prepare a judgment that mirrored the language of the Offer that was accepted. POA provided the updated judgment that was entered on June 18, 2025. (Declaration of Wood, Exhibit E; POA opposition, p. 7).

POA asserts that “[u]nder the American rule, each party to a lawsuit ordinarily pays its own attorney fees. [Citation.]” (*Mountain Air Enters., LLC v. Sundowner Towers, LLC* (2017) 3 Cal. 5th 744, 751). POA points out that “[e]xcept as attorneys’ fees are specifically provided for by statute,” fees are “left to the agreement, express or implied, of the parties.” Cal. Code Civ. Proc. § 1021. Section 1717(b)(2), in turn, requires that parties bear their own attorney fees when a defendant in a contract action prevails by settlement or voluntary dismissal. (*Riverside Mining Ltd. v. Quality Aggregates* (2024) 104 Cal.App.5th 269, 278–79). (POA’s opposition, at p. 7). POA contends that THT cannot identify a basis of obtaining attorney’s fees. THT concedes that the Image Management Contract at issue does not authorize attorney’s fees, and the only basis is under section 1717, which specifically bars fees for settled or voluntarily dismissed contract claims. POA emphasizes that section 1717(b)(2) “reflects a determination that. . . parties bear their own attorney fees. . . where a defendant in a contract action prevails by voluntary dismissal.” (*Riverside Mining Ltd. v. Quality Aggregates* (2024) 104 Cal.App.5th 269, 278). Moreover, it encourages parties “to dismiss pointless litigation. . . rather than maintain it merely to avoid liability for another party’s attorney fees.” (*Ford Motor Credit v. Hunsberger* (2008) 163 Cal.App.4th 1526, 1531). Section 1717(b)(2) applies with equal force to settlements reached pursuant to CCP § 998, such as this one. (See *Riverside Mining Ltd., supra*, 104 Cal.App.5th at p. 278). Indeed, Section 1717(b)(2) bars fees even when plaintiffs voluntarily dismiss their breach of contract claims during trial. (See, e.g., *Shapira v. Lifetech Resources, LLC* (2018) 22 Cal.App.5th 429, 432). (POA’s opposition, at p. 10).

In response, THT seeks the court to enforce the terms of the offer under section 664.6 and that the 998 Offer is a stipulated or consent judgment. (THT’s motion to enforce, at p. 12-13). THT argues that the 998 clearly provides for THT to pursue attorney’s fees. “POA knows—or should know and THT knows, that the law is clear when it comes to attorneys’ fees based on the fee clause at issue in this case—a unilateral clause that does not apply to claims ‘arising out of the’ purported contract turned bilateral by Civil Code section 1717. (*Xuereb v. Marcus & Millichap, Inc.* (1992) 3 Cal.App.4th 1338, 1341). That is because “tort action for fraud arising out of a contract is not, however, an action ‘on a contract’ within the meaning of [Civil Code § 1717].” (*Stout v. Turney* (1978) 22 Cal.3d 718, 730). The exception to that rule being when the attorneys’ fees clause at issue is broad enough to encompass litigating tort claims and recovery is afforded under Code of Civil Procedure section 1021. . .” (THT’s motion to enforce, p. 14-15). THT argues that the 998 agreement must have been intended to require judgment to be entered in THT’s favor of the contract claims, otherwise the fee motion that POA expressly invited would have no legal basis. (*Id.*). Alternatively, THT argues that POA is estopped based on detrimental reliance of the 998 Offer.

“Under California law, ‘each party to a lawsuit must pay its own attorney fees unless a contract or statute or other law authorizes a fee award.’” (*Douglas E. Barnhart, Inc. v. CMC Fabricators, Inc.* (2012) 211 Cal.App.4th 230, 237; see Code Civ. Proc., § 1021).

Code of Civil Procedure section 1021 states: “Except as attorney’s fees are specifically provided for by statute, the measure and mode of compensation of attorneys and counselors at law is left to the agreement, express or implied, of the parties; but parties to actions or proceedings are entitled to their costs, as hereinafter provided.” Here, the court finds defendant THT’s right to attorney’s fees is governed by two agreements and a statute, Civil Code section 1717. The most recent agreement is the 998 Offer itself and, in particular, the language cited above:

To the extent permissible under the terms of the contract governing this dispute, POA will pay the reasonable attorneys' fees and costs incurred by THT in connection with this action and incurred up until the time of this Offer, with the legal availability and reasonableness of such fees to be determined by the Court upon a fully-noticed Motion, which fees shall be incorporated into the Judgment described in Paragraph 1.

POA's agreement and thus its obligation to pay the reasonable attorneys' fees and costs incurred by THT in connection with this action, up until the time of the 998 Offer (March 20, 2025), is expressly limited "to the extent permissible under the terms of the contract governing this dispute." In turn, the contract governing this dispute is the Image Management Contract ("IMC"), attached as Exhibit A to the FAC. Section (3) of the General Terms & Conditions of the IMC states, in relevant part: "If customer [THT] defaults in the payment of the purchase price or any other obligation as provided herein, Customer [THT] agrees to pay to POA . . . all of POA's related attorney's fees and collection costs, even if no suit or action is filed."

Thus, this court must determine to what extent an award of attorney's fees is permissible under the above term of the IMC. By its terms, this provision of the IMC only provides attorney's fees to POA, but Civil Code section 1717, subdivision (a), makes this provision reciprocal. "In any action on a contract, where the contract specifically provides that attorney's fees and costs, which are incurred to enforce that contract, shall be awarded either to one of the parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney's fees in addition to other costs."

Thus, an award of attorney's fees to THT is permissible if the following conditions are met: "There was an action on the contract; the contract provided that fees incurred to enforce the contract be awarded to one of the parties (in this case, [POA]); and [THT]—who recovered greater relief in the action—clearly was the party who prevailed on the contract." (*Wong v. Thrifty Corp.* (2002) 97 Cal.App.4th 261, 265).

Here, first of all, the action [POA's FAC] was on the contract. (See Request for Judicial Notice in Support of Pacific Office Automation, Inc.'s Opposition to Defendant and Cross-Complainant The Health Trust's Motion for Attorneys' Fees, Exh. A. The request for judicial notice of this exhibit is GRANTED pursuant to Evidence Code, section 452, subdivision (d)). "[F]undamentally, 'California courts liberally construe the term "on a contract" as used within section 1717. [Citation.] As long as the action "involve[s]" a contract it is "on [the] contract" within the meaning of section 1717.' (*Hjelm v. Prometheus Real Estate Group, Inc.* (2016) 3 Cal.App.5th 1155, 1168). The court is not persuaded by POA's argument that the subject action was not "on the contract" because THT filed a cross-complaint with claims for fraud. THT's cross-complaint included a cause of action for false promise including a promise that "POA would supply said office equipment and software for a total monthly price." (See Request for Judicial Notice in Support of Pacific Office Automation, Inc.'s Opposition to Defendant and Cross-Complainant The Health Trust's Motion for Attorneys' Fees, Exh. B. The request for judicial notice of this exhibit is GRANTED pursuant to Evidence Code, section 452, subdivision (d)). In the court's view, such a claim "involves" the IMC, in the sense that the alleged fraud arises out of, is based upon, or relates to the IMC by seeking to define or interpret its terms or to determine or enforce a party's rights or duties under the agreement. (See *Eden Township Healthcare Dist. v. Eden Medical Center* (2013) 220 Cal. App. 4th 418, 427—"An action (or cause of action) is 'on a contract' for purposes of section 1717 if (1) the action (or cause of action) 'involves' an agreement, in the sense that the action (or cause of action) arises out of, is based upon, or relates to an agreement by seeking to define or interpret its terms or to determine or enforce a party's rights or duties under the agreement. . . "). Cross-complaint aside, there can be no question that POA's complaint and FAC are actions "on a contract."

Secondly, the plain language of the IMC provides that attorney's fees incurred to enforce the contract be awarded to POA.

Finally, Civil Code section 1717, subdivision (b), aids the court in determining who is the party prevailing on the contract. That section states:

- (1) The court, upon notice and motion by a party, shall determine who is the party prevailing on the contract for purposes of this section, whether or not the suit proceeds to final judgment. Except as provided in paragraph (2), the party prevailing on the contract shall be the party who recovered a greater relief in the action on the contract. The court may also determine that there is no party prevailing on the contract for purposes of this section.
- (2) Where an action has been voluntarily dismissed or dismissed pursuant to a settlement of the case, there shall be no prevailing party for purposes of this section.

POA did not recover anything in the action on the contract so it is the court's finding that THT is the party prevailing on the contract. POA contends the court cannot reach such a result because section 1717, subdivision (b)(2), precludes such a finding. POA notes that on March 28, 2025, 3:21pm, the court clerk entered dismissal of POA's [first amended] complaint as POA had filed a request for dismissal. (See Request for Judicial Notice in Support of Pacific Office Automation, Inc.'s Opposition to Defendant and Cross-Complainant The Health Trust's Motion for Attorneys' Fees, Exh. G. The request for judicial notice of this exhibit is GRANTED pursuant to Evidence Code, section 452, subdivision (d)).

In the court's opinion, section 1717, subdivision (b)(2), is inapplicable here because the voluntary dismissal of the FAC by POA occurred subsequent to THT's acceptance of the 998 Offer. In the court's opinion, the timing is significant.

“The goal of contractual interpretation is to determine and give effect to the mutual intention of the parties. [Citations.]’ [Citation.] Thus, ‘a “court's paramount consideration ... is the parties' objective intent when they entered into [the contract].” [Citations.]’ [Citation.] ‘A contract must be so interpreted as to give effect to the mutual intention of the parties **as it existed at the time of contracting**, so far as the same is ascertainable and lawful.’ [Citation.] “If a contract is capable of two constructions courts are bound to give such an interpretation as will make it lawful, operative, definite, reasonable, and capable of being carried into effect. . .”. [Citations.]’ [Citation.]” (*Khavarian Enterprises, Inc. v. Commline, Inc.* (2013) 216 Cal.App.4th 310, 318 [156 Cal. Rptr. 3d 657]).

(*Brown v. Goldstein* (2019) 34 Cal.App.5th 418, 437-438; emphasis added).

In the court's opinion, the 998 Offer's provision concerning the payment of attorneys' fees would be rendered illusory if POA's dismissal is given effect. In following the legal principle that a contract must be so interpreted as to give effect to the mutual intention of the parties as it existed at the time of contracting, the court interprets the 998 Offer to imply that a determination of the availability of fees is to be made at the time the 998 Offer was made and accepted, i.e., prior to dismissal of the action. In doing so, the court reaches the conclusion that THT shall be entitled to reasonable attorneys' fees as the party prevailing on the contract.

In determining the reasonableness of attorney fees the court considered the lodestar factors set forth including the novelty and difficulty of the issues in the matter, the skill of the attorney, the extent to which the nature of litigation

precluded other employment by the attorneys, and contingent ensuring that the amount awarded is not arbitrary. Litigation involved multi-parties and multi-causes of actions that spanned for approximately five years. Parties engaged in extensive discovery, including party deposition, expert retention, extensive motion practice, two mediations, and trial preparation. THT seeks attorney's fees in the amount of \$822,311.24. (Declaration of Thomas Woods in Support of Defendant/ Cross-Complainant The Health Trust's Motion for Attorney's Fees ¶31).

POA disputes the charges and provides specific items challenged with arguments in Exhibit D that is attached to the Declaration of Kaltsas (Declaration of Kalstas, Exhibit D, p. 226-264).

One point of contention is whether THT is entitled to recover for its attorney's fees related to its cross-complaint. Both parties cite *Reynolds Metals Co. v. Alperson* (1979) 25 Cal.3d 124, 129 (*Reynolds*) where the court wrote, "Where a cause of action based on the contract providing for attorney's fees is joined with other causes of action beyond the contract, the prevailing party may recover attorney's fees under section 1717 only as they relate to the contract action. . . A litigant may not increase his recovery of attorney's fees by joining a cause of action in which attorney's fees are not recoverable to one in which an award is proper." Even so, "Attorney's fees need not be apportioned when incurred for representation on an issue common to both a cause of action in which fees are proper and one in which they are not allowed." (*Reynolds, supra*, 25 Cal.3d at pp. 129 – 130). As discussed earlier, the court is of the opinion that THT's cross-claims arise out of, are based upon, or relate to the contract (IMC) at issue. Consequently, THT is not precluded from recovering attorney's fees related to its cross-complaint.

POA argues additionally that the court should adjust the lodestar amount downward because THT's recovery (\$40,000.00) is relatively minor in comparison to the attorney's fees (20x recovery) and this action was, generally speaking, a "simple breach of contract" that was "over-litigated." In the court's view, the actions and responsibly are shared by both parties.

Finally, POA's individual, line-by-line objections (See ¶6 and Exh. D to the Declaration of Chris Kaltsas in Support of Pacific Office Automation, Inc.'s Opposition, etc.) to the billing records submitted by THT do not, in this court's opinion, support a reduction of the fee award. "In California, an attorney need not submit contemporaneous time records in order to recover attorney fees, although an attorney's failure to keep books of account and other records has been found to be a basis for disciplinary action. [Citation.] Testimony of an attorney as to the number of hours worked on a particular case is sufficient evidence to support an award of attorney fees, even in the absence of detailed time records. [Citation.]" (*Martino v. Denevi* (1986) 182 Cal.App.3d 553, 559). POA cites *Christian Research Institute v. Alnor* (2008) 165 Cal.App.4th 1315, 1326 for the proposition that a trial court is within its discretion to reduce a fee award when the billing records presented undermine the credibility of the requested fee award. "[B]ased on the trial court's own observations in managing the proceedings up to the hearing and on the billing record eventually submitted, the court could reasonably determine counsel's fee request was unreasonably padded, vague, and worthy of little credence." Here, the court has reviewed the billing records submitted by THT. When viewed in conjunction with the declaration of THT's lead counsel, Thomas Woods, and, in particular, paragraphs 11 – 29, the court finds the billing records are amply supported.

IV. CONCLUSION

Based on the foregoing, the Court GRANTS defendant/ cross-complainant THT's motion for attorney's fees. THT is awarded \$822,311.24 in attorney's fees. The Court will prepare the formal Order.

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Calendar Line # 3
Case Name Cathay Bank vs RPRO152N3, LLC et al
Case No. 20CV416339
Motion to Enforce a Judgment Following Judicial Foreclosure Sale I. <u>BACKGROUND</u> This case stems from a collections case Complaint filed by Plaintiff Cathay Bank, a California Banking Corporation (“Bank”) on May 16, 2023 alleging breach of contract, breach of guaranty, judicial foreclosure, and specific performance and appointment of appraiser against Defendant RPRO152N3, LLC and Brent W. Lee (collectively Defendants). On November 14, 2024, the Honorable Shella Deen took Plaintiff’s motion for summary adjudication of its fourth cause of against Defendant Lee under submission. On November 26, 2024, Judge Deen submitted an order granting the plaintiff’s motion for summary adjudication of its fourth cause of against Defendant Brent W. Lee and entered default in the amount of \$1,962,863.32. On February 3, 2025, the Honorable Shella Deen ordered a judgment and judicial foreclosure against Defendant Lee. The notice of entry was filed the next day on February 4, 2025. Defendants filed a motion to set aside the judgment on February 19, 2025, but subsequently withdrew its motion on August 21, 2025. On October 23, 2025, the plaintiff filed this motion to enforce a judgment following judicial foreclosure sale. The motion was accompanied by a proof of service indicating electronic mail service to defense counsel that was filed on that same day. The motion is unopposed. Per Code of Civil Procedure section 1005(b) opposition papers were due on July 17, 2026. A failure to oppose a motion may be deemed a consent to the granting of the motion. California Rule of Court Rule 8.54c. A failure to oppose a motion may be deemed a consent to the granting of the motion. (California Rule of Court Rule 8.54(c)). Failure to oppose a motion leads to the presumption that the defendant has no meritorious arguments. (<i>Laguna Auto Body v. Farmers Ins. Exchange</i> (1991) 231 Cal.App.3d 481, 489). The Court carefully reviewed the following, Plaintiff’s notice of motion (totaling 3 pages); memorandum of points and authorities (totaling 5 pages); Declaration of Liam O’Connor in support of the motion and attached Exhibits 1-21 (totaling 84 pages); Declaration of Appraiser Jeffrey Bolton and attached Exhibit A (totaling 31 pages); Request for Judicial Notice and attached Exhibits A-D (totaling 70 pages); proofs of service; and the pleadings. II. <u>LEGAL STANDARD</u> A. ENFORCEMENT OF JUDGMENT Pursuant to Code of Civil Procedure section 726(a), “[t]here can be but one form of action for the recovery of any debt or the enforcement of any right secured by mortgage upon real property.” “[S]ince under section 726, ‘[t]here can be but one form of action for the recovery of any debt’ secured by a mortgage or deed of trust on real property, where the creditor sues on the obligation and seeks a personal money judgment against the debtor without seeking therein foreclosure of such mortgage or deed of trust, he makes an election of remedies, electing the single remedy of a personal action, and thereby waives his right to foreclose on the security or to sell the security under a power of sale.” <i>Walker v. Community Bank</i> (1974) 10 Cal. 3d 729 at 734 (citation omitted). “[W]hen the creditor recovers a personal money judgment against the debtor without first foreclosing all of the security, the sanctions of the ‘one action’ rule are applied, and the creditor loses the liens on all property not foreclosed in that action.” <i>Kirkpatrick v. Westamerica Bank</i> (1998) 65 Cal. App. 4th 982, 988 (citation omitted). “An election of remedies . . . occurs at the point the judgment attains finality when the claim is merged in the judgment.” (<i>Id.</i> at 990). Section 726(b) provides in relevant part:

(b) The decree for the foreclosure of a mortgage or deed of trust secured by real property or estate for years therein shall declare the amount of the indebtedness or right so secured and, unless judgment for any deficiency there may be between the sale price and the amount due with costs is waived by the judgment creditor or a deficiency judgment is prohibited by Section 580b, shall determine the personal liability of any defendant for the payment of the debt secured by the mortgage or deed of trust and shall name the defendants against whom a deficiency judgment may be ordered following the proceedings prescribed in this section. In the event of waiver, or if the prohibition of Section 580b is applicable, the decree shall so declare and there shall be no judgment for a deficiency.

B. REQUEST FOR JUDICIAL NOTICE

Under Evidence Code section 452(c)-(d), the court may take judicial notice of court records and actions of the state. Here, Plaintiff requests that the court takes judicial notice of four exhibits: Exhibit A is Plaintiff's motion for summary adjudication dated November 20, 2024; Exhibit B, Amended Order & Judgment of Judicial Foreclosure Against Defendant Lee; Exhibit C, Sheriff's Writ dated August 12, 2025 and Recorded Writ from Placer County Recorded August 19, 2025; and Exhibit D, Declaration of David Scheiber in support of the Motion for Summary Adjudication dated April 11, 2024 limited to exhibits A, B, E, and F. The request for judicial notice is unopposed. The Court GRANTS the request for judicial notice. However, the Court does not take judicial notice of the truth of assertions within the court records. (*Herrera v. Deutsche Bank National Trust Co.* (2011) 196 Cal.App.4th 1366, 1375).

III. ANALYSIS

Plaintiff Bank seeks a judgment in its favor and against the guarantor in the amount of the deficiency under section 726(b). Plaintiff states that the foreclosure sale of the Placer Property was completed on August 7, 2025 for the sale price of \$1,700,000.00, wherein Plaintiff took title via its winning credit bid. (Motion, p. 2). Appraiser Jeffrey W. Bolton submitted a Declaration attesting that the fair value of the Placer Property was \$1,850,000.00 at the time of the sale, on or around August 7, 2025. (Declaration of Bolton ¶ 4). Plaintiff Bank asserts that as of the date of foreclosure sale, the total amount due and owing to Cathay under the Loan Document as set forth in the Motion for Summary Adjudication Order on November 26, 2024 was \$2,248,617.51, which includes the balance of the loan, interest, attorney's fees (Declaration of O'Connor ¶¶ 17-23), and cost that the Bank incurred from October 4, 2024 to the foreclosure date. (Declaration of O'Connor ¶¶ 8-12; Exhibits 1-12; and Request for Judicial Notice, Exhibit D). Plaintiff asserts to having incurred \$14,788.80 in additional attorney's fees and \$277.39 in additional costs following the foreclosure sale, including preparation and filing this motion. (Declaration of O'Connor ¶ 14). Plaintiff asserts that pursuant to the "Attorneys' Fees; Expenses" provision under the Loan Documents, interest, fees, and costs are part of the loan balance. (*Id.*, ¶ 11; Request for Judicial Notice, Exhibits A and D). The additional interest in the balance has now accrued to \$38,878.67. (*Id.*, ¶ 14).

After applying all proceeds to the sale of the Placer Property, Plaintiff asserts that there is a deficiency in the amount of \$452,562.46 that is outstanding. (*Id.*, ¶ 14). Plaintiff sets for the accounting as follows: \$2,248,617.51 (Loan Document) less \$1,850,000 (value of the Placer Property per appraiser Bolton), plus \$38,878.76 (interest), plus \$14,788.80 (additional attorney's fees), plus \$277.39 (additional costs), for a total of \$452,562.46. (Motion, p. 5; Declaration of O'Connor ¶¶ 12-16). Plaintiff asserts that it may seek additional attorney's fee in a Reply brief. The Court notes that no reply brief with an updated amount was filed.

The Court finds that the plaintiff has met its burden under section 726(b).

IV. CONCLUSION

Based on the foregoing, the unopposed motion is GRANTED. The entry of deficiency judgment in the amount of

\$452,562.46 is awarded to Plaintiff against Guarantor Brent W. Lee aka Lee Brent. The Court will prepare the formal Order.

Calendar Line # 4

Case Name Soulbrain CA, LLC et al vs Seung Pyo (Dominic) Lee et al

Case No. 23CV428385

Demurrer

Before the court is defendant Rak Gyu “Robert” Chung dba SVR Real Estate & Management’s demurrer to third amended complaint. Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows.

I. BACKGROUND

In 2020, plaintiff SB Novus Ltd (“Novus”), based in South Korea, decided to purchase real estate in the United States through its subsidiary companies, plaintiffs Soulbrain CA, LLC (“SBCA”) and SB 125 Rio Robles, LLC (“SB125”) (collectively, SBCA and SB125 are hereafter referred to as “California Subsidiaries;” collectively, Novus, SBCA, and SB125 are hereafter referred to as “Soulbrain”). (Third Amended Complaint (“TAC”), ¶12).

Novus’s management team in Korea did not have expertise in US real estate transactions. (TAC, ¶14). The Novus management team relied on advice of defendant Seung Pyo (Dominic) Lee (“Lee”), who held himself out as an expert in US commercial real estate investments, to properly structure and capitalize the California Subsidiaries. (*Id.*).

Plaintiffs Soulbrain identified three buildings in Santa Clara located at 125 Rio Robles Drive (“Soulbrain B1”), 80 West Tasman Drive (“Soulbrain B2;” Soulbrain B1 and Soulbrain B2 are collectively referred to as the “Soulbrain Property”), and 10 W Tasman Drive (“Heritage Property;” the Heritage Property and Soulbrain Property are collectively referred to as the “Properties”). (TAC, ¶17).

To ensure the California Subsidiaries were adequately capitalized to purchase and manage the Properties, defendant Lee prepared and submitted to Novus’s management presentations and emails containing the amounts necessary to adequately capitalize plaintiff SBCA. (TAC, ¶19). Once capitalized, the funds to purchase the Properties were transferred to plaintiff SB125, a wholly owned subsidiary of SBCA, to purchase and hold title to the Properties. (*Id.*).

Defendant Lee was the sole employee of plaintiff SBCA during the relevant time periods. (TAC, ¶20). If defendant Lee needed additional capitalization for plaintiff SBCA, Lee needed to submit a request to Novus who would determine whether the amount requested was reasonable and transfer additional capital to SBCA. (*Id.*). Once SBCA had capital, defendant Lee had full autonomy to disperse funds for SBCA’s benefit. (*Id.*). Novus’s management would monitor SBCA’s cash balance, but Lee was trusted to act in the best interest of the California Subsidiaries. (*Id.*). On September 22, 2020, Novus wired \$9 million to SBCA based on Lee’s representations about the funds he needed authorization to spend on behalf of the California Subsidiaries. (*Id.*).

In Korea, the typical practice in commercial real estate transactions is for both buyer and seller to pay a broker’s fee. (TAC, ¶24). In the United States, it is typical for the seller to pay the brokers’ commissions from the final purchase price. (*Id.*) Lee knew Novus management would be unaware of this distinction and expect to pay a broker’s fee in connection with purchasing real property. (*Id.*) Lee took advantage of this difference to build in a second, fake “broker’s fee” into an authorization request to Novus for cash on behalf of the California Subsidiaries. (*Id.*).

Novus relied on Lee’s representation that the California Subsidiaries would owe \$1.6 million to Jones Lang LaSalle (“JLL”), the broker acting on behalf of SBCA as buyer of the Properties. (TAC, ¶¶23 and 25). In reliance, Novus sent SBCA \$53 million on October 20, 2020. (TAC, ¶25). Once Lee received authorization and funds from Novus,

on October 29, 2020, unknown to Soulbrain, Lee sent \$1.6 million to defendant Rak Gyu (Robert) Chung dba SVR Real Estate & Management (“SVR”), a friend of Lee’s family, under an arrangement for SVR to immediately send all but \$20,000 of the funds to Lee’s personal company, defendant CMD Advisor, LLC (“CMD”). (TAC, ¶¶26, 58, and 60). SBCA never paid a broker’s fee to JLL. (TAC, ¶¶58).

To justify the \$1.6 million payment to SVR, Lee points to an agreement purportedly dated February 2, 2020 where CMD appointed SVR as a real estate agent and broker for CMD. (TAC, ¶59). This purported agreement has nothing to do with the California Subsidiaries’ acquisition of the Properties, and neither Novus nor the California Subsidiaries ever authorized any agreement with SVR. (*Id.*). SVR never provided any services to Soulbrain and played no role in the purchase of the Properties. (*Id.*). SVR never entered into a contract with Soulbrain and Soulbrain never signed an agreement to make any payment to SVR. (*Id.*). Soulbrain already had a broker, JLL, whose fee was to be paid by the seller of the Properties out of the total purchase price as is typical in US real estate transactions. (*Id.*). Soulbrain neither used SVR as a broker nor owed SVR any amount as a broker’s fee in connection with the purchase of the Properties. (*Id.*).

Lee communicated with SVR through his personal email to make it more difficult for Soulbrain to discover his fraudulent scheme. (TAC, ¶61). This scheme was difficult for Soulbrain to detect because a buyer does pay a broker’s fee in a typical Korean commercial real estate transaction. (*Id.*). Because Soulbrain had expected to make this payment, SBCA’s books were balanced and the expenditure was not further reviewed by Novus. (TAC, ¶64). It was not until November 2023 that Soulbrain first discovered the \$1.6 million payment had been an act of fraud and theft. (*Id.*).

By participating in this scheme, SVR was aware he had done nothing to act as a broker for Soulbrain and had no right to receive any funds from Soulbrain. (TAC, ¶63). SVR participated in this scheme knowing he was facilitating fraud and Lee’s breach of fiduciary duty and theft of these funds and that he would be paid a small fee (\$19,975.00) for his role in assisting Lee’s acts of fraud and theft from Soulbrain. (*Id.*) .

On December 29, 2023, plaintiffs Soulbrain filed a complaint against defendants Lee, CMD, Chung, and others asserting causes of action for:

- (1) Breach of Fiduciary Duty
- (2) Fraud
- (3) Conspiracy to Commit Fraud
- (4) Breach of Contract
- (5) Breach of Contract
- (6) Conversion
- (7) Unjust Enrichment

On April 2, 2024, defendants Lee, CMD, and Chung filed a demurrer and motion to strike the plaintiffs’ complaint.

On May 29, 2024, plaintiffs filed a first amended complaint (“FAC”) which asserted causes of action for:

- (1) Breach of Fiduciary Duty [against defendant Lee]
- (2) Fraud [against defendant Lee]
- (3) Conspiracy to Commit Fraud [against defendants Heritage, CMD, Interstellar, and SVR]
- (4) Breach of Contract (Payment Agreement) [by plaintiff SB125 against defendant Heritage]
- (5) Breach of Contract (Property Lease Agreement) [by plaintiff SB125 against defendant Heritage]
- (6) Conversion [against defendants Lee, Chung, CMD, Heritage, and Interstellar]
- (7) Unjust Enrichment

On July 22, 2024, defendants Lee, CMD, and Chung filed (1) a demurrer to the second, third, sixth, and seventh causes of action of the FAC and (2) motion to strike time-barred and punitive damages allegations against defendant Chung.

On October 31, 2024, the court issued an order sustaining defendants' demurrer with leave to amend and granting, in part, the motion to strike.

On November 15, 2024, plaintiffs Soulbrain filed a second amended complaint ("SAC") asserting the same causes of action asserted in the FAC with the exception of the seventh cause of action for unjust enrichment which was deleted.

On December 17, 2024, defendants Lee, CMD, and Chung filed a demurrer to the second, third, and sixth causes of action of plaintiffs' SAC.

On June 12, 2025, the court issued an order sustaining defendants' demurrer to the SAC with leave to amend.

On June 27, 2025, plaintiffs Soulbrain filed the now operative TAC which asserts the following causes of action:

- (1) Breach of Fiduciary Duty [by plaintiffs California Subsidiaries against defendant Lee]
- (2) Fraud [by plaintiffs Soulbrain against defendant Lee]
- (3) Fraud (Conspiracy) [by plaintiffs Soulbrain against defendants CMD and SVR, et al.]
- (4) Breach of Contract (Payment Agreement) [by plaintiff SB125 against defendant Heritage]
- (5) Breach of Contract (Property Lease Agreement) [by plaintiff SB125 against defendant Heritage]
- (6) Conversion [by plaintiffs Soulbrain against defendants Lee, CMD, SVR, et al.]

On October 29, 2025, defendant SVR filed the motion now before the court, a demurrer to the third and sixth causes of action of plaintiffs' TAC.

II. LEGAL STANDARD

Pursuant to Code of Civil Procedure section 430.10, a party may demur to a complaint on the grounds that it "does not state facts sufficient to constitute a cause of action." (Code Civ. Proc., § 430.10, subd. (e)). A demurrer tests whether the complaint states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747 (*Hahn*)). When considering demurrers, courts accept all well pleaded facts as true. (*Fox v. JAMDAT Mobile, Inc.* (2010) 185 Cal.App.4th 1068, 1078). In ruling on a demurrer, the Court treats it "as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318 (*Blank*)).

III. ANALYSIS

A. FRAUD (CONSPIRACY)

A court may sustain a demurrer on the ground of failure to state sufficient facts if "the complaint shows on its face the statute [of limitations] bars the action." (*E-Fab, Inc. v. Accountants, Inc. Services* (2007) 153 Cal.App.4th 1308, 1315 (*E-Fab*)). A demurrer is not sustainable on statute of limitations grounds if there is only a possibility that the cause of action is time-barred; the defense must be clearly and affirmatively apparent from the allegations of the pleading [and matters of which the court may properly take judicial notice]. (*Id.*, at pp. 1315-1316).¹ When evaluating

¹ See also *Heshejin v. Rostami* (2020) 54 Cal.App.5th 984, 992-993: "[A] demurrer based on an affirmative defense will be sustained only where the face of the complaint discloses that the action is necessarily barred by the defense." (*Stella v. Asset Management Consultants, Inc.* (2017) 8 Cal.App.5th 181, 191 [213 Cal. Rptr. 3d 850]; accord, *Aryeh v. Canon Business Solutions, Inc.* (2013) 55 Cal.4th 1185, 1191 [151 Cal. Rptr. 3d 827, 292 P.3d 871] [application on demurrer of affirmative defense of statute of limitations based on facts alleged in a complaint

whether a claim is time-barred, the court must determine: (1) which statute of limitations applies, and (2) when the claim accrued. (*Ibid.*).

The limitations period for a claim predicated on fraud is three years from the date of “the discovery, by the aggrieved party, of the facts constituting the fraud.” (Code Civ. Proc., § 338, subd. (d); see *Britton v. Girardi* (2015) 235 Cal.App.4th 721, 734). “The discovery rule ‘postpones accrual of a cause of action until the plaintiff discovers, or has reason to discover, the cause of action.’ [Citations.] . . . By statute, the discovery rule applies to fraud actions. (Code Civ. Proc., § 338, subd. (d)).” (*E-Fab, supra*, 153 Cal.App.4th at p. 1318).

“A plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence. The burden is on the plaintiff to show diligence, and conclusory allegations will not withstand demurrer.” (*E-Fab, supra*, 153 Cal.App.4th at p. 1319).

In demurring, defendant SVR improperly focuses on the date the purportedly fraudulent commissions were paid, October 29, 2020 (see TAC, ¶60), despite plaintiffs’ affirmative allegation that they did not discover the fraud until November 2023 (see TAC, ¶64), to argue that the statute of limitations expired on October 29, 2023 and plaintiffs did not commence this action until December 29, 2023.

That misconception aside, defendant SVR contends there are allegations made within the TAC which suggest the cause of action accrued earlier than November 2023.

Under the discovery rule, the statute of limitations begins to run when the plaintiff suspects or should suspect that her injury was caused by wrongdoing, that someone has done something wrong to her. [Footnote.] . . . the limitations period begins once the plaintiff “has notice or information of circumstances to put a reasonable person *on inquiry*” (*Gutierrez, supra*, 39 Cal.3d at pp. 896-897, quoting *Sanchez, supra*, 18 Cal.3d at p. 101 (italics added by the *Gutierrez* court)). A plaintiff need not be aware of the specific “facts” necessary to establish the claim; that is a process contemplated by pretrial discovery. Once the plaintiff has a suspicion of wrongdoing, and therefore an incentive to sue, she must decide whether to file suit or sit on her rights. So long as a suspicion exists, it is clear that the plaintiff must go find the facts; she cannot wait for the facts to find her. (*Jolly v. Eli Lilly & Co.* (1988) 44 Cal.3d 1103, 1110-1111).

Defendant SVR highlights the allegations that Novus had an internal auditor in charge of supervising and monitoring the activities of defendant Lee and that it was a sophisticated business organization formed to purchase \$160 million worth of real estate. (See TAC, ¶¶12 – 13). Defendant SVR contends such factual allegations place plaintiffs on inquiry notice and plaintiffs should have suspected wrongdoing and discovered the double commission in October 2020.

When a plaintiff reasonably should have discovered facts for purposes of the accrual of a cause of action or application of the delayed discovery rule is generally a question of fact, properly decided as a matter of law only if the evidence (or, in this case, the allegations in the complaint and facts properly subject to judicial notice) can support only one reasonable conclusion. (*Stella v. Asset Management Consultants, Inc.* (2017) 8 Cal.App.5th 181, 193).

is a legal question subject to de novo review]; *Favila v. Katten Muchin Rosenman LLP* (2010) 188 Cal.App.4th 189, 224 [115 Cal. Rptr. 3d 274] [“It must appear clearly and affirmatively that, upon the face of the complaint [and matters of which the court may properly take judicial notice], the right of action is necessarily barred.”)].

Here, the court does not agree with defendant SVR's contention that the highlighted facts placed plaintiffs on inquiry notice. Moreover, defendant SVR wholly ignores the allegations made by plaintiffs explaining why they were unable to have made earlier discovery of the fraud despite reasonable diligence.

Defendant SVR argues, additionally, that plaintiffs have not alleged justifiable reliance again focusing on the allegations that plaintiffs were, themselves, sophisticated business entities. "Except in the rare case where the undisputed facts leave no room for a reasonable difference of opinion, the question of whether a plaintiff's reliance is reasonable is a question of fact." (*Alliance Mortgage Co. v. Rothwell* (1995) 10 Cal.4th 1226, 1239). In *Guido v. Koopman* (1991) 1 Cal.App.4th 837, 843, the court stated that, "Justifiable reliance is an essential element of a claim for fraudulent misrepresentation, and the reasonableness of the reliance is ordinarily a question of fact. However, whether a party's reliance was justified may be decided as a matter of law if reasonable minds can come to only one conclusion based on the facts." Even with the allegations cited by defendant SVR, the court cannot say as a matter of law that only one conclusion can be drawn from those facts with regard to the reasonableness of plaintiffs' reliance.

Accordingly, defendant SVR's demurrer to the third cause of action of plaintiffs' TAC on the ground that the pleading does not state facts sufficient to constitute a cause of action [Code Civ. Proc., §430.10, subd. (e)] for fraud (conspiracy) is **OVERRULED**.

B. CONVERSION

Defendant SVR demurs to the sixth cause of action of plaintiffs' TAC (conversion) on essentially the same grounds as he demurred to the third cause of action, i.e., the conversion cause of action is barred by a three year statute of limitations. Defendant SVR contends a cause of action for conversion accrues at the time of the wrongful act of conversion, but acknowledges the statute of limitations is tolled where there is fraudulent concealment by the defendant.

In light of the ruling above, the court does not agree with defendant SVR's contention that plaintiffs have not sufficiently alleged delayed discovery of the fraud here. For that reason, defendant SVR's demurrer to the sixth cause of action of plaintiffs' TAC on the ground that the pleading does not state facts sufficient to constitute a cause of action [Code Civ. Proc., §430.10, subd. (e)] for conversion is **OVERRULED**.

IV. CONCLUSION

Based on the foregoing, the Court **ORDERS** the following:

Defendant SVR's demurrer to the third cause of action of plaintiffs' TAC on the ground that the pleading does not state facts sufficient to constitute a cause of action for fraud (conspiracy) is **OVERRULED**.

Defendant SVR's demurrer to the sixth cause of action of plaintiffs' TAC on the ground that the pleading does not state facts sufficient to constitute a cause of action for conversion is **OVERRULED**.

The Court will prepare the formal Order.

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Calendar Line # 5
Case Name Star Union Technology et al vs Capital Asset Exchange and Trading LLC
Case No. 24CV450570
Demurer Before the court is defendant Capital Asset Exchange and Trading, LLC’s demurrer. Pursuant to California Rule of Court 3.1308, the court issues its tentative ruling as follows. I. <u>BACKGROUND</u> On or about March 18, 2024, plaintiff Star Union Technology (“Star Union”) entered into a written invoice order (“Invoice”) with defendant Capital Asset Exchange and Trading, LLC (“CAET”) for plaintiff Star Union to purchase from defendant CAET certain equipment, namely seven (7) disco grinders (“Equipment”). (Second Amended Complaint (SAC), ¶13). Pursuant to the terms of the Invoice, the purchase price for the Equipment was \$1,750,000 to be paid within five business days of the signing of the Invoice. (SAC, ¶14). Defendant CAET did not personally manufacture, hold, or possess the Equipment. (SAC, ¶15). Defendant CAET’s role was that of an intermediary, procuring the contracted Equipment from its supplier and then delivering the Equipment to its buyer. (<i>Id.</i>). Plaintiff agreed not to circumvent defendant CAET by purchasing Equipment directly from defendant CAET’s suppliers. (SAC, ¶16). Plaintiff Star Union paid defendant CAET the contracted price within the time limitation imposed by the Invoice. (SAC, ¶17). Defendant CAET was required to arrange shipment of the Equipment from the United States to the port of Shanghai, China. (<i>Id.</i>). On July 29, 2024, defendant CAET emailed plaintiff Star Union requesting an address to process shipment of the Equipment. (SAC, ¶18). Plaintiff Star Union provided all requested information. (<i>Id.</i>). Defendant failed to initiate or complete shipment. (<i>Id.</i>). On September 3, 2024, plaintiff Star Union requested a status update and was told “some confirmation of information is needed.” (<i>Id.</i>). Despite repeated communications, no shipment of Equipment occurred. (<i>Id.</i>). Contrary to defendant’s prior representations, defendant CAET never paid its supplier for the Equipment and was not in a position to procure or deliver the Equipment to plaintiff Star Union. (SAC, ¶20). Defendant CAET admitted in a related legal proceeding that it received payment from another buyer for the same Equipment on March 8, 2024 and approximately 10 days later, defendant CAET sold the same Equipment to plaintiff Star Union. (SAC, ¶21). Defendant CAET did not disclose this prior sale to plaintiff Star Union at the time it entered into the transaction with plaintiff. (SAC, ¶23). Defendant CAET, through its Managing Director Shuo Li (“Li”), during pre-contract communications, represented to plaintiff that defendant CAET had the ability to procure and deliver the Equipment. (SAC, ¶24). Plaintiff relied upon these representations in entering into the Invoice and paying the purchase price. (<i>Id.</i>). On or about November 6, 202[4] and December 10, 202[4], Li communicated with plaintiff via WeChat stating that if plaintiff agreed to proceed with additional transactions, the Equipment would be released; otherwise, plaintiff would “get nothing back.” (SAC, ¶¶25 – 26). Plaintiff Star Union had a contract with a third party pursuant to which plaintiff would transfer the Equipment to that third party for a price. (SAC, ¶27). Defendant CAET was aware of this contract and failed to deliver the Equipment. (<i>Id.</i>). As of April 20, 2026, defendant CAET has not delivered the Equipment to plaintiff Star Union. (SAC, ¶20).

On October 29, 2024, plaintiff Star Union filed a complaint against defendant CAET asserting causes of action for:

- (1) Breach of Contract
- (2) Fraud
- (3) Violation of the Uniform Commercial Code
- (4) Unjust Enrichment

On December 2, 2024, plaintiff Star Union filed a FAC against defendant CAET asserting the same four causes of action asserted in the original complaint and adding a fifth cause of action for rescission of contract.

On January 3, 2025, defendant CAET filed an answer to plaintiff Star Union's FAC and also filed a cross-complaint against Star Union asserting the breach of two separate contracts.

On February 3, 2025, plaintiff/ cross-defendant Star Union filed an answer to defendant/ cross-complainant CAET's cross-complaint.

On February 11, 2026, defendant CAET filed a motion for judgment on the pleadings as to plaintiff Star Union's FAC. On April 9, 2026, the court issued an order granting, in part, defendant CAET's motion for judgment on the pleadings.

On April 20, 2026, plaintiff Star Union filed the now operative SAC which asserts causes of action for:

- (1) Breach of Contract
- (2) Fraud – Promissory Fraud / Fraudulent Inducement
- (3) Restitution
- (4) Rescission

On May 11, 2026, defendant CAET filed the motion now before the court, a demurrer to the second through fourth causes of action of plaintiff Star Union's SAC.

II. LEGAL STANDARD

Pursuant to Code of Civil Procedure section 430.10, a party may demur to a complaint on the grounds that it “does not state facts sufficient to constitute a cause of action.” (Code Civ. Proc., § 430.10, subd. (e)). A demurrer tests whether the complaint states a cause of action. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747 (*Hahn*)). When considering demurrers, courts accept all well pleaded facts as true. (*Fox v. JAMDAT Mobile, Inc.* (2010) 185 Cal.App.4th 1068, 1078). In ruling on a demurrer, the Court treats it “as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318 (*Blank*)).

III. ANALYSIS

A. FRAUD

Plaintiff Star Union's second cause of action for fraud alleges, in relevant part:

Prior to entering into the contract, Defendant, through its Managing Director Shuo Li, made representations to Plaintiff during pre-contract communications via WeChat that Defendant would procure and deliver the Equipment within a short period of time following payment, including representations that delivery could occur within approximately ten days.

Defendant further represented that the Equipment was available and that Defendant had the ability to complete the transaction and deliver the Equipment to Plaintiff. (SAC, ¶¶37 – 38).

“‘Promissory fraud’ is a subspecies of fraud and deceit. A promise to do something necessarily implies the intention to perform; hence, where a promise is made without such intention, there is an implied misrepresentation of fact that may be actionable fraud. An action for promissory fraud may lie where a defendant fraudulently induces the plaintiff to enter into a contract.” (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 973 – 974; see also CACI, No. 1902).

“A promise of future conduct is actionable as fraud only if made without a present intent to perform. (Civ. Code, §1710, subd. 4; [Citation omitted.]). “ ‘A declaration of intention, although in the nature of a promise, made in good faith, without intention to deceive, and in the honest expectation that it will be fulfilled, even though it is not carried out, does not constitute a fraud. [Citation.]’ ” [Citation omitted]. Moreover, “ ‘something more than nonperformance is required to prove the defendant’s intent not to perform his promise.’ [Citations.] . . . [I]f plaintiff adduces no further evidence of fraudulent intent than proof of nonperformance of an oral promise, he will never reach a jury.” (*Magpali v. Farmers Group, Inc.* (1996) 48 Cal.App.4th 471, 481).

“Fraud actions are subject to strict requirements of particularity in pleading. . . . Accordingly, the rule is everywhere followed that fraud must be specifically pleaded.” (*Committee on Children’s Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 216 (*Committee*)). In *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645, the court stated that “this particularity requirement necessitates pleading facts which ‘show how, when, where, to whom, and by what means the representations were tendered.’ A plaintiff’s burden in asserting a claim against a corporate employer is even greater. In such a case, the plaintiff must ‘allege the names of the persons who made the allegedly fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written.” (*Lazar, supra*, 12 Cal.4th at 645).

The court previously granted defendant CAET’s motion for judgment on the pleadings to the fraud cause of action on the ground that plaintiff Star Union had not alleged fraud with the requisite specificity. Defendant CAET again demurs to this second cause of action on the same basis. Specifically, defendant CAET contends plaintiff Star Union has not alleged when the representations occurred, to whom the alleged representations were made and what was said.

The SAC does allege the representations occurred “prior to entering into the contract” and, as plaintiff Star Union points out in opposition, the second cause of action incorporates earlier allegations, including the allegation that the contract/ Invoice was entered into on or about March 18, 2024. The timing of the representations is alleged with sufficient precision.

As to what was said, the court finds the allegations identified above sufficient as to the substance of the purported representations.

The court agrees, however, that the SAC continues to lack any allegation as to whom the alleged representations were made. In opposition, plaintiff addresses this point only by suggesting that it can amend to name David Zhu as the recipient of the alleged representations.

Defendant CAET contends further that the same details are lacking with regard to paragraph 38 of the SAC. Although the court would reasonably infer that the same specifics found in paragraph 37 also apply to paragraph 38, the court will give plaintiff Star Union leave to amend to make those specifics explicitly.

The court, however, does not agree with defendant CAET’s contention that plaintiff Star Union has not alleged facts to support the falsity of the representations. Defendant CAET acknowledges the allegations found at paragraph 40, but contends those allegations don’t necessarily lead to the conclusion that the representations were false. To the

extent that the allegations at paragraph 40 are subject to inferences both for and against falsity, the court finds it reasonable to infer such allegations support falsity for purposes of pleading.

Insofar as defendant CAET contends the second cause of action for fraud is barred by the economic loss rule, this court has already indicated in its earlier ruling that the economic loss rule does not bar a plaintiff's claim for fraudulent inducement. (See *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 843—"Fraudulent inducement claims fall within an exception to the economic loss rule recognized by our Supreme Court (*Robinson, supra*, 34 Cal.4th at pp. 989–990.)). Thus, application of the economic loss rule will hinge on whether plaintiff Star Union can adequately plead fraud.

Accordingly, defendant CAET's demurrer to the second cause of action of plaintiff Star Union's SAC on the ground that the pleading does not state facts sufficient to constitute a cause of action [Code Civ. Proc., §430.10, subd. (e)] for fraud is SUSTAINED with 10 days' leave to amend.

B. RESTITUTION

In the FAC, plaintiff Star Union previously asserted a cause of action entitled, "unjust enrichment." Plaintiff Star Union's SAC now asserts a cause of action entitled, "Restitution," premised on the allegation, in relevant part, that, "Defendant's retention of Plaintiff's funds [\$1,750,000] is unjust and inequitable because it was obtained through fraud and wrongful conduct . . . Plaintiff is entitled to restitution." (SAC, ¶¶54 – 55).

In *McBride v. Houghton* (2004) 123 Cal.App.4th 379 (*McBride*), the court wrote, "Unjust enrichment is not a cause of action, however, or even a remedy, but rather a general principle, underlying various legal doctrines and remedies. It is synonymous with restitution. Unjust enrichment has also been characterized as describing the result of a failure to make restitution. [¶] In reviewing a judgment of dismissal following the sustaining of a general demurrer, we ignore erroneous or confusing labels if the complaint pleads facts which would entitle the plaintiff to relief. Thus, we must look to the actual gravamen of [plaintiff's] complaint to determine what cause of action, if any, he stated, or could have stated if given leave to amend. In accordance with this principle, we construe [plaintiff's] purported cause of action for unjust enrichment as an attempt to plead a cause of action giving rise to a right to restitution."

There are several potential bases for a cause of action seeking restitution. For example, restitution may be awarded in lieu of breach of contract damages when the parties had an express contract, but it was procured by fraud or is unenforceable or ineffective for some reason. [Citations.] Alternatively, restitution may be awarded where the defendant obtained a benefit from the plaintiff by fraud, duress, conversion, or similar conduct. In such cases, the plaintiff may choose not to sue in tort, but instead to seek restitution on a quasi-contract theory (an election referred to at common law as "waiving the tort and suing in assumpsit"). [Citation.] In such cases, where appropriate, the law will imply a contract (or rather, a quasi-contract), without regard to the parties' intent, in order to avoid unjust enrichment. [Citation].

(*McBride, supra*, 123 Cal.App.4th at pp. 387 – 388; internal citations and punctuation omitted).

Since this third cause of action for restitution is premised on fraud, defendant CAET contends it fails for the reasons discussed above as to the fraud cause of action.

Accordingly, defendant CAET's demurrer to the third cause of action of plaintiff Star Union's SAC on the ground that the pleading does not state facts sufficient to constitute a cause of action [Code Civ. Proc., §430.10, subd. (e)] for restitution is SUSTAINED with 10 days' leave to amend.

C. RESCISSION

"Rescission is not a cause of action; it is a remedy." (*Nakash v. Superior Court* (1987) 196 Cal.App.3d 59, 70). "The

traditional equitable action to have the rescission of a contract adjudged was recognized in former Civil Code 3406. [However,] the equitable action was abolished in 1961, and the remedy is now a legal action for restitution based on a completed unilateral rescission.” (4 Witkin, California Procedure (4th ed. 1997) §502, p. 590 – 591). “The following need to be alleged in an action for restitution after completed unilateral rescission: (1) the contract or other contractual instrument; (2) the grounds for rescission; (3) if the ground is breach of contract, plaintiff’s own performance.” (4 Witkin, California Procedure (4th ed. 1997) §503, p. 591; see also *Runyan v. Pacific Air Industries, Inc.* (1970) 2 Cal.3d 304 (*Runyan*)). “Relief given in rescission cases—restitution and in some cases consequential damages—puts the rescinding party in the status quo ante, returning him to his economic position before he entered the contract.” (*Runyan, supra*, 2 Cal.3d at p. 316, fn. 15).

Here, plaintiff Star Union’s fourth cause of action for rescission is specifically premised upon defendant CAET’s fraud. (SAC, ¶58—“Defendant’s fraud constitutes grounds for rescission under California Civil Code section 1689.”). In light of the court’s ruling above, defendant CAET’s demurrer to the fourth cause of action of plaintiff Star Union’s SAC on the ground that the pleading does not state facts sufficient to constitute a cause of action [Code Civ. Proc., §430.10, subd. (e)] for rescission is SUSTAINED with 10 days’ leave to amend.

IV. CONCLUSION

Based on the foregoing, the Court ORDERS as follows:

Defendant CAET’s demurrer to the second cause of action of plaintiff Star Union’s SAC on the ground that the pleading does not state facts sufficient to constitute a cause of action for fraud is SUSTAINED with 10 days’ leave to amend.

Defendant CAET’s demurrer to the third cause of action of plaintiff Star Union’s SAC on the ground that the pleading does not state facts sufficient to constitute a cause of action for restitution is SUSTAINED with 10 days’ leave to amend.

In light of the court’s ruling above, defendant CAET’s demurrer to the fourth cause of action of plaintiff Star Union’s SAC on the ground that the pleading does not state facts sufficient to constitute a cause of action for rescission is SUSTAINED with 10 days’ leave to amend.

The Court will prepare the formal Order.

Calendar Line # 6
Case Name Bank of America N.A. vs Arbinder Dhak
Case No. 24CV451385
Motion to Set Aside
I. <u>BACKGROUND</u> This case stems from a collections case that Plaintiff Bank of America, N.A. (“Bank”) filed on November 11, 2024 against Defendant Arbinder Dhak (“Dhak”) with a principal debt amount of \$71,277.36. (“Complaint”). Defendant Dhak filed an Answer on December 4, 2024. On July 29, 2025, at a Case Management Conference, the Honorable Shella Deen noted a non-appearance for the plaintiff and set the matter for an Order to Show Cause failure to appear by the plaintiff on September 25, 2025. (Minute Order for July 29, 2025). On September 25, 2025, Judge Deen noted another non-appearance for the plaintiff and dismissed the matter without prejudice. (Minute Order for September 25, 2025).

On November 6, 2025, the plaintiff filed this motion set aside and vacate the dismissal due to inadvertence, surprise, and excusable neglect of the plaintiff's counsel. (Notice, p. 1). The motion was accompanied by a proof of service indicating mail service to defense counsel that was filed on that same day.

The motion is unopposed. Per Code of Civil Procedure section 1005(b) opposition papers were due on July 17, 2026. A failure to oppose a motion may be deemed a consent to the granting of the motion. California Rule of Court Rule 8.54c. A failure to oppose a motion may be deemed a consent to the granting of the motion. (California Rule of Court Rule 8.54(c)). Failure to oppose a motion leads to the presumption that the defendant has no meritorious arguments. (*Laguna Auto Body v. Farmers Ins. Exchange* (1991) 231 Cal.App.3d 481, 489).

The Court carefully reviewed the following, Plaintiff Bank's notice of motion (totaling two pages); memorandum of points and authorities (totaling two pages); Declaration of Roberty Kayvon (totaling two pages); proof of service; and the pleadings.

II. LEGAL STANDARD

A. CODE OF CIVIL PROCEDURE SECTION 1008(a)

"When an application for an order has been made to a judge, or to a court, and refused in whole or in part, or granted, or granted conditionally, or on terms, any party affected by the order may, within 10 days after service upon the party of written notice of entry of the order . . . make application to the same judge or court that made the order, to reconsider the matter and modify, amend, or revoke the prior order." "The party making the application shall state by affidavit what application was made before, when and to what judge, what order or decisions were made, and what new or different facts, circumstances, or law are claimed to be shown." (Code Civ. Proc., § 1008, subd. (a)). A trial court has discretion with respect to granting a motion for reconsideration. (*New York Times Co. v. Superior Court* (2005) 135 Cal.App.4th 206, 212).

B. CODE OF CIVIL PROCEDURE SECTION 473(b)

Code of Civil Procedure section § 473(b) provides for both discretionary and mandatory relief. In terms of discretionary relief section 473(b), in pertinent part, reads as follows:

The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken. . .

The mandatory provision of section 473(b) reads, in pertinent part, as follows:

Notwithstanding any other requirements of this section, the court shall, whenever an application for relief is made no more than six months after entry of judgment, is in proper form, and is accompanied by an attorney's sworn affidavit attesting to his or her mistake, inadvertence, surprise, or neglect, vacate any (1) resulting default entered by the clerk against his or her client, and which will result in entry of a default judgment, or (2) resulting default judgment or dismissal entered against his or her client, unless the court finds that the default or dismissal was not in fact caused by the attorney's mistake, inadvertence, surprise, or neglect.

The general underlying purpose is to promote the determination of actions on their merits. (*Even Zohar Construction & Remodeling, Inc. v. Bellaire Townhouses, LLC* (2015) 61 Cal.4th 830). Under this statute, an

application for relief must be made *no more than six months after entry of the judgment, dismissal, order, or other proceeding* from which relief is sought and must be accompanied by an affidavit of fault attesting to the mistake, inadvertence, surprise or neglect of the moving party or its attorney. (Code of Civ. Proc., § 473(b); *English v. IKON Business Solutions* (2001) 94 Cal.App.4th 130, 143).

III. ANALYSIS

Here, the Plaintiff seeks to set aside the dismissal that was issued by the Honorable Shella Deen on September 25, 2025. This motion to set aside was filed less than two-months after the dismissal was Ordered. Thus, the Court finds the motion to be timely filed.

Plaintiff Bank seeks to set aside the Order due to the mistake of the plaintiff's attorney. Plaintiff's counsel asserts that due to a clerical error, the matter was not properly calendared, thus causing the plaintiff to fail to properly appear and file a default judgment packet in a timely fashion. (Declaration of Kayvon, ¶ 3). Counsel states that the coversheet with the judgment and order for the judgment on the pleadings were not included. The documents were filed on June 3, 2025. Plaintiff's counsel did not review the rejection email and thus failed to take note of the subsequent hearing. (*Id.*). Plaintiff's counsel requests the dismissal to be set aside so the case can be litigated on its merit and that the Plaintiff not be harmed due to the error of its attorney. (*Id.*, ¶ 4).

The motion is unopposed. A failure to oppose a motion may be deemed a consent to the granting of the motion. California Rule of Court Rule 8.54c. A failure to oppose a motion may be deemed a consent to the granting of the motion. (California Rule of Court Rule 8.54(c)). Failure to oppose a motion leads to the presumption that the defendant has no meritorious arguments. (*Laguna Auto Body v. Farmers Ins. Exchange* (1991) 231 Cal.App.3d 481, 489).

The Court finds that the plaintiff has met its burden of showing why the dismissal without prejudice ordered by Judge Deen on September 25, 2025 should be set aside pursuant to Code of Civil Procedure section 473(b).

IV. CONCLUSION

Based on the foregoing, the Plaintiff's unopposed motion to set aside is GRANTED. It is ORDERED that the September 25, 2025 court order dismissing the case without prejudice for plaintiff's failure to appear is hereby set aside. The Court will prepare the final Order.

Calendar Line # 7

Case Name CSAA Automobile Insurance Co. vs Sergio Palacios et al

Case No. 25CV457892

Motion for Terminating Sanctions

I. BACKGROUND

The underlying uninsured motorist claim arises from a December 5, 2022 motor vehicle incident. Claimants Fernando Solano, Sergio Palacios, Epiphania Palacios, and Maria Arias filed an uninsured motorist claim against Respondent CSAA Automobile Insurance Co. ("CSAA"). A petition to designate this matter as an uninsured motorist claim was filed on February 4, 2025.

Before the Court is respondent CSAA's motion for terminating sanctions against Claimant Fernando Solano. CSAA filed the motion on May 5, 2026, and the motion was accompanied by a proof of service indicating mail service for that same day.

The Court has carefully reviewed the moving papers, including CSAA’s notice of motion, memorandum of points and authorities, Declaration of Rhiannon Hayward in support of the motion and attached Exhibits 1-4 (totaling 40 pages), proof of service, and the pleadings.

The motion is unopposed. Per Code of Civil Procedure section 1005(b) opposition papers were due on July 17, 2026. A failure to oppose a motion may be deemed a consent to the granting of the motion. California Rule of Court Rule 8.54c. A failure to oppose a motion may be deemed a consent to the granting of the motion. (California Rule of Court Rule 8.54(c)). Failure to oppose a motion leads to the presumption that the defendant has no meritorious arguments. (*Laguna Auto Body v. Farmers Ins. Exchange* (1991) 231 Cal.App.3d 481, 489).

II. LEGAL STANDARD

Pursuant to Code of Civil Procedure section 2023.030, subdivisions (a) through (e), the court is authorized, after notice and an opportunity for hearing, to impose the following sanctions against anyone engaging in conduct that is a misuse of the discovery process: monetary sanctions, issue sanctions, evidence sanctions, terminating sanctions, and contempt. Code of Civil Procedure, section 2023.010, subdivision (g) provide that a misuse of the discovery process includes evasive responses to discovery. (Code Civ. Proc. § 2023.010(f)). “It is mandatory that the court impose a monetary sanction under Chapter 7 (commencing with Section 2023.010) on the party or attorney, or both, whose failure to serve a timely response to requests for admission necessitated this motion [to deem admitted the truth of the matters specified in the requests for admission].” (Code Civ. Proc., § 2033.280, subd. (c)).

“The discovery statutes evince an incremental approach to discovery sanctions, starting with monetary sanctions and ending with the ultimate sanction of termination. [Citation.]” (*Doppes v. Bentley Motors, Inc.* (2009) 174 Cal.App.4th 967, 992; *J.W. v. Watchtower Bible and Tract Society of New York, Inc.* (2018) 29 Cal.App.5th 1142, 1169). If a lesser sanction fails to curb misuse, a greater sanction is warranted. (*Doppes, supra*, 174 Cal.App.4th at p. 992). “Discovery sanctions ‘should be appropriate to the dereliction, and should not exceed what is required to protect the interests of the party entitled to but denied discovery.’” (*Id.*).

“But where a violation is willful, preceded by a history of abuse, and the evidence shows that less severe sanctions would not produce compliance with the discovery rules, the trial court is justified in imposing the ultimate sanction.” (*Id.*, quoting *Mileikowsky v. Tenet Healthsystem* (2005) 128 Cal.App.4th 262, 279–280); *Creed-21 v. City of Wildomar* (2017) 18 Cal.App.5th 690, 702, quoting *Doppes* and *Mileikowsky*). The court should consider the totality of the circumstances, including conduct of the party to determine if the actions were willful, the detriment to the propounding party, and the number of formal and informal attempts to obtain discovery. (*Lang v. Hochman* (2000) 77 Cal.App.4th 1225, 1246).

Pursuant to Code of Civil Procedure section 2023.010, “the court shall impose a monetary sanction. . . against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel further response to a demand, unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.” (Code of Civ. Proc. §§ 2023.010 and 2031.300).

III. ANALYSIS

Here, CSAA asserts that Claimant Fernando Solano has engaged in clear and continuous misuse of discovery that is demonstrated by his willful failure to comply with a Court Order regarding CSAA’s motion to compel deposition of the Claimant that was filed on July 28, 2025 and heard on December 16, 2025 in front of the Honorable Shella Deen. (Motion, p. 4). Despite Judge Deen’s Order was filed on January 21, 2026, and granted CSAA’s motion to compel deposition of the Claimant Fernando Solano and ordered Fernando Solano to make himself available for deposition within 30 days of the Order. No motion for sanctions was imposed with the motion to compel.

CSAA asserts that since the order, Claimant Fernando Solano failed to appear for deposition. CSAA asserts that it submitted its Third Amended Notice of Deposition on April 27, 2026 for Claimant Solano. No opposition or further communications were relayed to CSAA. On April 27, 2026, CSAA obtained a Certification of Non-Appearance. (Declaration of Hayward ¶ 7-8; Exhibits 3-4). CSAA asserts that the claimant has failed to “participate” in discovery. (*Id.*, at p. 5). CSAA avers to the fact that the claimant’s counsel withdrew as the attorney of record after “losing all contact with him” [the claimant]. (*Id.*; Declaration of Hayward ¶ 3). CSAA notes that the claimant’s actions are indicative of abandonment of his claim and seeks a terminating sanction. (*Id.*). CSAA argues that it has suffered prejudice as it has been deprived from obtaining essential testimony necessary to evaluate and defend against the uninsured motorist claim. (*Id.*; Declaration of Hayward ¶ 10).

The Court notes that Claimant Fernando Solano appears to have violated the December 16, 2025 court order compelling his deposition within 30 days. However, the court balances the fact that discovery statutes evince an incremental approach to discovery sanctions, starting with monetary sanctions and ending with the ultimate sanction of termination. [Citation.]” (*Doppes, supra*, 174 Cal.App.4th at 992; *J.W., supra*, 29 Cal.App.5th at 1169). If a lesser sanction fails to curb misuse, a greater sanction is warranted. (*Id.*, at p. 992). “Discovery sanctions ‘should be appropriate to the dereliction, and should not exceed what is required to protect the interests of the party entitled to but denied discovery.’” (*Id.*). The motion to compel was granted, but the order did not include monetary sanctions against Claimant Solano. Further, while CSAA cites that Fernando Solano has failed to participate in discovery and filed a motion to compel deposition, there has been no discussion or motion to compel written discovery. The Court finds the request for a dismissal and terminating sanction at this juncture to be premature as less severe sanctions can be imposed to produce compliance.

The motion is unopposed. A failure to oppose a motion may be deemed a consent to the granting of the motion. California Rule of Court Rule 8.54c. A failure to oppose a motion may be deemed a consent to the granting of the motion. (California Rule of Court Rule 8.54(c)). Failure to oppose a motion leads to the presumption that the defendant has no meritorious arguments. (*Laguna Auto Body v. Farmers Ins. Exchange* (1991) 231 Cal.App.3d 481, 489).

The Court finds that CSAA’s request to be premature and the Court will impose less drastic sanctions at this juncture. However, the claimant Fernando Solano is admonished that continuous failure to comply with court orders and sanctions, as well as discovery may result in the Court considering imposition of terminating sanctions in the future.

IV. CONCLUSION

Based on the foregoing, the unopposed motion for terminating sanctions is DENIED without prejudice at this time. The lesser sanction the Court will impose is monetary sanctions in the amount of \$500.00 for attorney’s fees and cost for pursuing this motion. Claimant Fernando Solano is ORDERED to pay \$600.00 to CSAA within thirty (30) days of this Order.

Claimant Fernando Solano is ORDERED to comply with the December 16, 2025 Order by Judge Deen to make himself available for deposition within thirty (30) days of this Order, or at a mutually agreed date, at a code compliant location.

The Court will prepare the formal Order.